PRINCIPLES OF BUSINESS ADMINISTRATION

CONTENTS

CHAPTER 1

BUSINESS ORGANISATIONS

At the end of this Module the student shall be able to:

- Understand the various types of business organisations that can be established.
- Appreciate the advantages and disadvantages of each type of business

Introduction

A business activity is any legal activity that may be owned by one person as a sole proprietor or can be owned jointly by two or more people thereby creating a partnership. The main aim of many business operations is to make a profit either in the short or long term. A business activity is not only trading activities like the popular Kantemba business that have spread along many high ways in cities and towns. A business may be in the form of manufacturing something for sale, buying and selling for profit, providing services etc. Some examples of businesses include banking, insurance, retail trade, producing beer, providing educational services, Shoprite Chain Stores, Game stores, Internet services, tourist lodge or hotel, transport services etc.

Element 1.1 Types of Business Enterprises

A business may be owned by one person as a sole proprietor or can be owned jointly with another person or partner as a partnership. Another way in which a business could be owned is through the establishment of a limited liability company. A limited liability company can be privately or publicly owned. Another form of business organization could be through a cooperative society. The government may on behalf of the entire citizenry own businesses.

i) Sole Trader

a) Definition

This is a business owned by only one person who provides all the capital needed to set up and manage the organization and takes profit as his/her reward. The owner uses his/her labour assisted sometimes by one or two workers and/ or family members. This is normally a small business in size though it is not always small.

This type of business may involve retail trade, builders, hairdressing, radio and TV repairs, farming, fishing, consultancies, bar, restaurant, hotels, travel agencies, law firm, home finders, estate agencies, etc. All such business activities are owned and managed by the sole proprietor.

The sources of finance for the sole proprietor may be through selling of Personal assets such as land, buildings, cattle or shares held in a company. Other sources could be through borrowing from a friend, family member or the bank.

Features of the Sole Proprietor

The main features of Sole Proprietorship are as follows:

i. It is a business owned by only one person who provides all the capital needed to set up and manage it and takes all the profit as his reward.
ii. It is the simplest and most common type of business enterprise.
iii. The owner uses his/her labour, assisted perhaps by one or two workers or family members.
iv. The business tends to be small in size although it is not always so.
v. This type of business enterprise is not confined to the retail trade.

b) Advantages of a Sole Trader

When you own and manage the business as a sole proprietor there are several advantages, and these include the following:

i) The business is easy to set up, control and manage.
ii) It requires a small amount of capital to set up; as a result many people are able to run this type of business.
iii) The owner makes independent and quick decisions on how the business is to be run.
iv) The owner has personal contact with his/her workers as well as customers and is likely to be familiar with all the aspects of the business.
v) The owner tries to provide his/her customers with personalised service. This is one of the main reasons for the continued survival of the sole proprietors.
vi) The owner takes all the profits made by the business and this gives him/her encouragement to work hard.
vii) Business affairs are kept private except when completing tax returns. The law provides that the sole proprietor shall pay tax.
viii) The owner will be familiar with all aspects of the business with timely solutions to problems if any.
ix) The sole proprietor is elf-employed and gets a sense of satisfaction for working for him/herself.

c) Disadvantages of a Sole Trader

There are a number of disadvantages of running a sole proprietorship and the common ones include the following:

i) The personal assets are at risk because the business has unlimited liability. In an event that the sole trader borrows money from any institution or individual, he/she must pay back the whole of it otherwise her/his personal assets would be attached and auctioned to raise the money to repay the debt.

ii) The business cannot do without the owner. The business may close down when the owner dies, as the owner is everything to the business. There is no sharing of workload.

iii) It is more difficult for the sole trader to borrow money than in other forms of business, making expansion difficult. The sole trader may not borrow money, as the sole trader does not provide financial collateral as security.

iv) The size of the business is rather too small. Thus, it is unable to benefit from the economies of scale making it more expensive to run than larger organizations. There may not be any division of labour.

v) The sole proprietor is self-employed. This means he/she does not have such benefits as state social security or retirement benefits, which are enjoyed by those employed by other companies or government departments.

vi) Shortage of capital prevents the sole proprietor from providing modern equipment, for example the use of computerized stock control. He/she cannot afford to provide services such as credit, delivery, and other amenities to his/her customers thereby making such businesses unattractive to customers.

vii) The risks of failure are as high as there is severe competition from especially large-scale businesses.

viii) Division of labour may be difficult to organize because of the small size the business, thus there is little sharing of workload and therefore always overloaded. This affects his/her efficiency and productivity.

ii) Partnerships

a) Definition

Partnerships may be established for purposes of pooling of skills, experiences, knowledge, contacts, finances, assets or a combination of any two or more factors. At individual levels, people may realize that they did not have adequate skills, knowledge or finance to run a business on their own, but as a team, they could achieve more.

Between two and twenty people can come together and form a partnership by drawing up a legal document called partnership deed. This document gives details of the way the firm will be organized and managed.

The details in the partnership deed include the following:

i. The objectives of a partnership,
ii. The financial contribution of each partner,
iii. The sharing of profits and losses,
iv. The rights and obligations of each partner,
v. The amount of money to be paid as salary to each partner,
vi. The name of the partnership and
vii. The treatment of capital invested.

b) Features of a Partnership

i. Can be formed by between two and twenty people but professional partnerships like that of lawyers, doctors, engineers etc can be formed by more than twenty people.
ii. The capital of the partnership is raised by contribution of each partner and does not need to be equal. Partners can lend capital to a partnership with interest payment depending on the provisions in the partnership deed.
iii. In a partnership, ownership and control are not separated, thus partners own and control the partnership.
iv. A partnership has no separate legal entity. Thus the liability of partners is just like in a sole proprietorship.
v. Each and every partner is entitled to be involved in the running of a business. A decision of any one partner binds the partnership.
vi. Partnerships are common among professions such as estate agents, insurance brokers, lawyers, doctors, accountants.

c) Advantages of Partnerships

Forming partnerships has several advantages that include the following:

i. A Partnership is easy to set up, as it does not involve long costly procedures.
ii. Division of labour is possible, as there are many people involved with various skills and experiences.
iii. More people are involved in the business so more capital can be raised.
iv. Expenses and management of the business are shared.
v. The individuality of each partner is not totally lost, as partners maintain many of the personal advantages of the sole proprietorship.
vi. There is greater continuity in a partnership than in sole proprietorship. In case of death or resignation, the remaining partners can form a new partnership.
vii. Decision-making is consultative leading to improved quality of decisions.
viii. A partnership is not required to publish its accounts annually so there is secrecy.

d) Disadvantages of Partnerships

Partnerships have several disadvantages as given below.

i. Decisions may be delayed by disagreements among partners.
ii. Partners have unlimited liability and are therefore personally liable for the debts of the partnership. Personal assets are at risk.
iii. Lack of capital may limit expansion as it depends on partners for raising capital.

iv. When one partner dies or leaves, a new partnership is required, which may be awkward to the remaining members.
v. Membership in a partnership is limited to twenty except for professional partnerships. This restricts the ability of the partnership to raise capital.
vi. One partner's decision can be binding on all the other partners even if it is a wrong decision. This makes the partnership a risky affair.
vii. A partnership is a delicate business and can break at any time. This is particularly the case in many auditing and legal firms/partnerships.

iii) Private Limited Company

According to the Company's Act of Zambia, the two documents namely the Memorandum of Understanding and Articles of Association have been combined to create the Articles of Association. The promoters of the company should submit the articles of association to the Registrar of Companies. The Registrar of Companies shall issue a certificate of incorporation once the application complies with the Company's Act.

a. The Articles of Association

The articles of association shall include the following information:

i. Name of the company with the last word being limited.
ii. Objectives of the Company.
iii. The statement of limited liability for its shareholders.
iv. The authorized capital thus the amount of capital to be raised by the shareholders.
v. The number of shares issued to each Director.
vi. The rights, obligations and powers of the directors.
vii. The procedure for calling annual general meetings.
viii. The rights and power of each type of shareholder.
ix. The procedure for electing directors.
x. The issue, transfer and forfeiture of shares.
xi. Procedure for dealing with any alterations in the amount of capital.
xii. Procedure for distributing profits and carrying out auditing.

A limited liability company is controlled and governed by a board of directors, which is elected by the shareholders at annual general meetings.

b. Characteristics of a Private Limited Liability Company

The main features of a private limited liability company include the following:

i. A private limited company is a separate legal entity meaning the company has its own legal existence separate from that of its shareholders.
ii. A private limited company is not allowed to sell its shares to the general public unless by approaching people individually.
iii. Shares of a private limited company are not transferable without the agreement of the other shareholders.
iv. Shareholders in a private limited company have control over the company.
v. A private limited company is not required by law to publicise its accounts annually.
vi. The liability of shareholders is limited to capital invested.
vii. At least two people and not more than fifty can form a private limited company.
viii. A private limited company is usually a small family business, though it is not always so.
ix. The capital and ownership of a private limited company is divided into shares.
x. Profits earned are usually shared in proportion to the number and value of shares held.

c) Advantages of a private limited company

Forming a private limited company is probably the most secure way of owning a business. The benefits of this kind of business include the following:

i It is a legally separate entity or personality from the owners.
ii. The liability of shareholders is limited, so their personal assets are not at risk.
iii. It can easily raise more capital by selling shares though not publicly.
iv. The company has sure continuity, as it does not depend on one person.
v. Shareholders have direct control over the company's affairs. They present their views at the annual general meeting.
vi. The founders can retain control over the company by holding the majority of its shares.

d) Disadvantages of private limited company

Some of the disadvantages of a private limited company are as given below.

i. There are too many legal formalities to comply with.
ii. Lack of capital can restrict the growth of a private limited company.
iii. The shares are not freely transferable, as the existing shareholders should approve such
iv. Accounts should be audited annually, hence the need to engage services of an Auditors.
v. The company is less flexible when compared to a sole

proprietorship.

vi. It is a costly exercise to form a limited liability than that of a sole Proprietorship

vii. Not easy for such a company to borrow money from the banks, etc.

v) Public Limited Companies

Definition

A public limited company is a corporate association of at least two persons, which is registered with the Registrar of companies and owned by the shareholders who have limited liabilities. Public Limited companies are generally quoted at the Lusaka Stock Exchange where members of the public can freely trade in shares for such companies.

Public limited companies use the prospectus as an invitation to members of the public to buy shares in the company. The prospectus gives information on the number of shares being sold and at what price.

a) Characteristics of a Public Limited Companies

A public limited company may be characterised by the following attributes:

i. It is a company formed by at least two persons without a maximum number.

ii. It is a separate legal entity and is registered with the Registrar of Companies.

iii. The Board of Directors are elected by the shareholders controlling it.

iv. Shares of the public company are freely bought and sold on the stock exchange. There are no restrictions on the transfer of shares to third parties.

v. The liability of shareholders is limited to the capital they have invested or agreed to invest in the company.

vi. The day to day running of the business is in the hands of the Managing Director. The Board of Directors deal with the Managing Director on policy issues.

b) Advantages of Public Limited Companies

The advantages of the Public Limited Company include the following:

i. The company is a separate legal entity and as such the liability of shareholders is limited to the amount of shares they hold in the company.

ii. Its shares are freely transferable on the Lusaka Stock Exchange.

iii. It has assured continuity.

iv. It can raise more capital by the sale of shares and debentures to the public through the Lusaka Stock Exchange.

v. It can easily borrow money from banks and other financial institutions.

vi. It can employ specialists in such fields as marketing, accounting and human resource management, which is more efficient.

vii. Its sheer size makes it possible for the company to buy modern equipment and technology

viii. It buys in bulk and therefore enjoys economies of scale and possible discounts.

c) Disadvantages of Public Limited Company

When you form a public limited company, there are some disadvantages you may find as follows:

i. It is difficult and expensive to form.
ii. It has to comply with many regulations set to protect employer, employee and other stakeholders.
iii. Raising capital tends to be very expensive
iv. It may grow and become too large and difficult to manage.
v. Original owners usually lose control over it as it has become too big.
vi. There is little secrecy, as its accounts must be published annually. This is a legal requirement.
vii. Decisions tend to be delayed because of the amount of administration or bureaucracy involved such as those that require board approval.
viii. The risk of takeover bids by other companies because shares of a public limited company can easily be bought on the stock exchange.

V) Cooperative Societies

Definition

> *Cooperative societies are businesses established and managed by a group of customers on a cooperative principle of ownership, operation and distribution. The cooperative societies are owned and financed by their members who buy from the stores.*

Membership is open to anyone who buys a share in the society. Cooperative societies are democratically controlled with each member having one vote. Generally, cooperative societies pursue social objectives in addition to profit. In Zambia, the most common cooperative societies have tended to be agricultural cooperative societies at both district and provincial levels. Because of difficulties faced by provincial agricultural cooperative societies, the focus has shifted to primary cooperative societies at the village level.

a) Characteristics of cooperative societies

The following are features of cooperative societies particularly those for trading activities:

i. The members or owners are people who have bought shares in the society and are also the main customers.
ii. A maximum amount of shares is set as an individual's shareholding. Thus, the number of shares that one can buy in a society is restricted to prevent rich people from taking over the control of the society.
iii. Members have one vote irrespective of the number of shares one holds at any particular time.
iv. Profits or surpluses are divided as dividends to members in relation to

the amount of goods traded from the business.

v. In the case of retail business, a committee elected by members manage the business.

vi. The societies may offer special benefits such as scholarships, funeral benefits and other social amenities to the society members.

b) Advantages of cooperative societies include the following:

i. The customers especially members enjoy lower prices since they are given dividend stamps each time they purchase goods from the store.

ii. Such cooperative society businesses are convenient as they are near to the customers.

iii. Anybody can do business with the cooperative society and is not restricted to members only.

iv. They are democratically controlled in the interest of customers and each member has a right to be heard.

v. Another major problem is that capital raised through the sale of shares is limited given the restriction of the number of shares an individual can buy, making it difficult to expand.

c) Disadvantages of the cooperative societies include the following:

i. The stores are inefficient as the issuing of divided stamps is a slow process.

ii. It involves a lot of paperwork.

iii. Over time, cooperative societies tend to amalgamate in order to withstand stiff competition.

iv. Many members do not attend meetings as a result; a few members dominate societies.

v. Lack of qualified management team retards the progress of the societies. Poor management, poor planning and poor financial control plagued many cooperative societies. This has forced many cooperative societies to close down.

vi. Another major problem is that of capital, as capital raised through the sale of shares is limited given the restriction given on the number of shares an individual can buy· making it difficult to expand.

ELEMENT 1.2 THE ORGANISATION AND ITS STAKEHOLDERS

Organisations operate in an environment that impinges on the interest of various business associates called organisational stakeholders. Stakeholders are those individuals, institutions etc who have a stake in the future development of the organisation. The success or failure of an organisation affects stakeholders in its environment.

Definition

Organisational stakeholders may be defined as individuals or groups of people who have an interest in and/or are affected by the goals, operations or activities of the organisation or the behaviour of its members.

Stakeholders for any organisation shall comprise its employees, customers, suppliers, government, financiers, community publics and other organisations or groups. Each stakeholder shall now be discussed below.

i. Employees

Employees are probably the most important assets of the organisation and the employees and organisations need each other. The responsibilities of the organisation go beyond the terms and conditions of service in the employment contract but recognise the workers' well being. Organisations have social contracts with employees where employees expect the employer to treat them fairly, put in a transparent and good corporate governance system for the organisation that promotes gender equity and equal employment opportunities.

ii. Customers

Customers are the reasons for the existence of an organisation. They bring money to the business, provide new product ideas and they are marketing agents for the organisation. The success of the organisation depends on customer patronage. The customers or consumers or clients have certain expectations of the organisation, such as good value for money, safety and durability of goods and services, after sale service, respect and recognition, long-term satisfaction such as convenience, serviceability consistence of supply and full and unambiguous information.

iii. Suppliers

Suppliers of production inputs to the organisation are major sources of competitive advantage. The suppliers want money from the organisation for various supplies they make. The quality of the goods and services are affected by the quality of inputs from the suppliers. The organisation should develop suitable social responsibility programmes to maintain a productive working relationship. Suppliers may provide quantity or cash discounts to the organization.

iv. Government

Government is a major buyer of various goods and services. In addition, the government enacts laws and makes regulations that should be respected and obeyed even if it is not in the interest of the company. The export regulations and measures to control inflation such as ceilings on wage claims, control on the sale of tobacco and display of health warnings are among the regulations government may set. Compliance with tax laws and other legislations that affect the organisation is important for a good corporate citizen.

The government expects the organisation to continue in operation so that it can continue to collect tax revenues for the implementation of its various programmes.

v. Financiers

In any business, there are shareholders, providers of investment capital such as insurance companies, Pension funds, Building Societies, Commercial and Investment banks who may invest their funds into an organisation and expect a reasonable return on their invested funds. In some cases people buy shares at a stock exchange like the Lusaka Stock Exchange and expect a dividend at the end of a period. These financiers have an interest in the company and expect it to be responsibly managed in the most transparent and most accountable manner to ensure that their investment is safeguarded and earns some return for the risk and use of their capital.

These financiers expect management to provide them with full and complete information and shareholders question top management on policy decisions.

vi. Community Publics

The customers of the organisation are part of the community and contribute to the growth of the organisation. A good corporate citizen is more pronounced in the company's support for local community projects and its concern for the environment. In Zambia, the support of the Premier Soccer League by Konkola Copper Mines; sponsorship of Coca cola Cup for secondary schools, BP Top Eight, donation of building materials for a classroom block, adoption of a ward at the University Teaching Hospital etc are some of the examples of how organisations show appreciation of community support to the business. An organisation may have negative corporate image if it did not undertake such activities.

The communities have expectations of good corporate citizens to be good to the community publics in areas they operate in. The environmentally friendly policies of organizations are other expectations of the community such as promoting the Keep Lusaka Clean Campaign, avoidance of using excessive packaging and more use of biodegradable materials. The continued existence of the organization is of public interest in nature as it provides employment to society.

Questions

1. Briefly discuss the various types of businesses clearly pointing out the characteristics, pros and cons of each.

2. Identify the various stakeholders of an organisation and briefly discuss the expectations of each one of them.

3. A friend of yours wishes to set up a Kantemba business to sell fitumbuwa to industrial workers. Advise your friend the advantages of and disadvantages of being a sole trader.

4. You have been asked to give a talk on the features of, advantages and disadvantages of partnership type of business. What would include in your paper.

5. A group of men in your neighbourhood have come together to form a private limited company and they have come to you for advice. Explain to them the features of the private limited company by outlining advantages and disadvantages of this type of business.

6. Distinguish between a partnership and a public limited company. What are the advantages and disadvantages of each type of business type?

7. Many communities in Zambia formed cooperative societies as a way of creating investment. Discuss the characteristics of cooperatives and state why many communities opted for them. What are the advantages of such types of business?

CHAPTER 2.0

THE FUNCTIONS OF MANAGERS

The learning Objectives

- To explain the meaning of management and main activities or functions of management;
- To analyse the essential nature of managerial work;
- To evaluate the importance of management to effective performance of work organisations; and
- To explain the managerial skills and the manager's role in an organisation.

ELEMENT A 2.1 MANAGEMENT FUNCTIONS AND THE MANAGER'S JOB

Management can only achieve their goals and objectives by the coordinated effort of their members and it is the task of management to get work done through other eople. Management is fundamental and central to the effective operation of work organisations. Management cannot be a separate department like Finance or Marketing as it is common to all other functions.

Definition

Management is about changing behaviour of people and making things happen. It is about developing people, working with them, reaching objectives and achieving results. The success or failure of management is attributable to the manager. Management may be defined as a process of achieving organisational objectives, within a changing environment, by balancing efficiency, effectiveness and equity, obtaining the most from limited resources and working with and through people.

Common activities of management may be classified into six categories:

i. Technical (production, manufacturing and adaptation)
ii. Commercial (buying, selling, exchange and market information)
iii. Financial (obtaining capital and making optimum use of available funds)
iv. Security (safeguarding property and persons)
v. Accounting (information on the economic position, stocktaking, balance sheet, costs, statistics, etc) and
vi. Managerial.

The managerial activity is divided into five elements of management i.e. planning, organising, coordinating, leading and controlling. These managerial activities are discussed below.

i. Planning

In their managerial functions, planning tends to be the starting point at all times. Planning may be defined as to foresee, examining the future, deciding what needs to be achieved and developing a plan of action.

Planning involves the setting of objectives (what to do), formulation of a strategy (how to do) and implementation of strategy (when, whom) to achieve the set objectives.

The planning process is best done through the participation of all key players in the organisation to ensure ownership of the plan.

ii. Organising

Organising involves the analysis of activities, identifying decisions and relationships required in the organisation, classifying and dividing work, creating the organisation structure and selecting staff to implement management strategies. Organising may also be seen as a provision of material and human resources and building of the structure to carry out the activities of the organisation.

Organising is an essential ingredient of management as it is very important that whatever you want to do, it is properly organised or arranged. Once things are properly organised or arranged, it becomes easier to implement and ensure that organisational objectives are achieved.

iii. Coordinating

Coordination involves the unifying and harmonisation of all activities and effort of the organisation to facilitate its work and success. It involves balancing and maintaining the team by ensuring a suitable division of work and seeing that the tasks are performed in harmony and not in conflict. Through this function, the manager creates reporting relationships vertically and facilitates communication relationships horizontally.

iv. Leading

Leading is the creation of an organisational climate, in which, people work willingly and effectively thus inspiring morale among employees. An essential part of management is coordinating the activities of people and guiding their efforts towards the goals and objectives of the organisation. This involves the process of leadership and choice of an appropriate form of action and behaviour.

Leadership is a central feature of organisational performance. A manager will not be able to single-handedly carry out all programmes of the organisation and requires the support of other people in the organisation. The ability to lead people, or inspire and influence others to the desired direction for the achievement of objectives is one of the greatest challenges of leadership. Through effective motivation and communication, a manager creates a team out of people responsible for various jobs.

v. Controlling

After planning, organising and coordinating the various work processes, it is important that an evaluation is undertaken to compare actual performance against the set standards. This comparison will ensure satisfactory performance and progress and this record can be used as guide for future operations. Once deviations from set standards have been detected, they are reported to those people in the organisation with the mandate to institute corrective action. Where people feel that the assumptions no longer make sense, a review of these assumptions may be necessary. The same goes for people's behaviour. If it is found to be contrary to the set behavioural standards, corrective action must be taken to rectify the situation.

The continuous monitoring and evaluation of the plan enables management to detect any deviations from standard and institute timely corrective measures to ensure that the organisation maintains its focus on the mission.

ELEMENT A 2.2 MANAGEMENT SKILLS AND THE ROLE OF A MANAGER

In understanding the importance of management skills and the role of a manager, it would be important to understand why organisations need managers. Henry Mintzberg suggested six reasons why organisations need managers as follows

i. To ensure the organisation serves its basic purpose - the efficient production of goods and services;
ii. To design and maintain the stability of the operations of the organisation;
iii. To take charge of strategy-making and adapt the organisation in a controlled way to changes in its environment;
iv. To serve as the key informational link between the organisation and the environment; and
v. As formal authority to operate the organisation's status system.

a) Managerial skills or qualities

The managerial skills or qualities of a manager shall revolve around people (human and social) skills, technical skills or competence and conceptual skills irrespective of whether the organisation is private or public. No single skill mentioned here can make a manager effective. Instead, it is the combination of these skills, in various proportions that make a manager effective. As a manager climbs the organisational ladder, a greater proportion of emphasis is likely to be placed on conceptual skills and proportionately less of technical competence. The human and social skills remain very important at every level of the organisation.

i) **Technical Competence/Skills** relate to the application of specific knowledge, methods and skills to implement various tasks. This type of skill is very important for those at supervisory levels and responsible for day-to-day operations like an Assistant Accountant, human resources officer, sales manager, workshop foreman etc.

ii) **Social and human (people) Skills** refer to interpersonal relationships in working with and through other people and exercise of judgement. A manager requires excellent people management skills to secure the effective use of human resources of the organisation. The leadership style of a manager has an effect on team work and the attainment of coordination among staff. The suitability of the management styles will have a bearing on the willingness of staff to do what the manager wants.

iii) **Conceptual Skill** or ability is required in order to view the complexities of the operations of the organisation as a whole including external factors. This involves decision-making skills.

b) The role of a Manager

The work of the manager is varied and fragmented and is greatly influenced by the following factors.

i. The nature of the organisation, its philosophy, objectives and size;
ii. The type of structure;
iii. Activities and tasks involved;
iv. Technology and methods of performing work;
v. The nature of people employed; and
vi. The level in the organisation at which the manager is working.

Empirical evidence from the study of Chief Executive Officers of medium to large organisations, Henry Mintzberg has equated the functions of a manager to the managerial roles since the managers in organisations have formal authority. These managerial roles may be categorised into three groups, namely interpersonal roles, informational roles and decisional roles.

Interpersonal Roles are relations with other people arising from the manager's status and authority.

i. **Figurehead role** - most basic and simple managerial role is being the public face of an organisation. The manager is a symbol and represents the organisation in matters of formality, ceremonial nature, signing documents, etc.

ii) **Leadership role** is one of the significant roles and it infuses all activities of a manager. Due to the formal authority vested in the manager, there is responsibility for staffing, motivation and guidance of employees.

iii. **Liaison role** involves relationships that the manager develops within and outside the organisation thus linking the organisation to its environment.

Informational Roles relates to the sources and communication of information arising from the manager's interpersonal roles.

iv. **Monitor Role** identifies the manager in seeking and receiving information. The information enables the manager to develop an understanding of the working of the organisation and its environment.

v. **Disseminator Role** involves the manager in transmitting external information through the liaison role into the organisation, and internal information through the leader role between the subordinates, which information may be factual or value judgement.

vi. **Spokesman Role** involves the manager as formal authority in transmitting information to the people outside the unit such as Board of Directors, or other superiors and general public.

Decisional roles involve the making of strategic organisational decisions on the basis of the manager's status and authority, and access to information.

vii. **Entrepreneurial Role** is the manager's function to initiate and plan controlled change through exploiting opportunities or solving problems and taking actions to improve the existing situation.

viii. **Disturbance Handler Role** involves the manager in reacting to involuntary situations and unpredictable events. The manager takes action to deal with unpredictable events.

ix **Resource Allocator Role** involves the manager in using formal authority to decide where effort will be expended and making choices on the allocation of resources such as money, time, material and staff. The Manager decides the programming of work and maintains control by authorising important decisions before implementation.

x. **Negotiator Role** is participation in negotiation activity with other individuals or organisations e.g. trade unions, suppliers or customers.

Questions

1 A manager requires to be armed with appropriate managerial skills in order for him/her to play the various roles expected of him/her. As a management student, explain these various skills a manager is required to play and relate them to the managerial roles.

2 Assuming you have been appointed as a supervisor of your work group, what management functions will you be expected to perform? Explain with examples.

3 Identify and discuss the several roles that any individual plays by virtue of him/her being in a managerial position.

CHAPTER 3.0

THEORIES OF MANAGEMENT

Learning Objectives

After this unit, the student shall be able to:

- Explain the relationship between management theory and practice;
- Identify major trends in the development of organisation behaviour and management thinking;
- Evaluate the relevance of these different approaches to the present day management of organisations;
- Assess the value of the management theory and different approaches to organisation and management.

ELEMENT 3.1 PRINCIPLES AND ELEMENTS OF MANAGEMENT

Henri Fayol made a contribution to the management theory by advocating for principles of management. The management principles must be flexible and adaptable to changing circumstances. These principles may be influenced by the organisation structure in which the process of management takes place. Fayol identified the following 14 principles of management.

i. **Division of work.** The objective is to produce more and better work from the same effort and the advantages of specialisation.

ii. **Authority and responsibility.** Responsibility is the corollary of authority. Whenever authority is exercised, responsibility follows. The application of sanctions is essential to good management and it is needed to encourage useful actions and to discourage their opposite.

iii. **Discipline** is essential for the efficient operation of the organisation. Discipline is in essence the outward mark of respect for agreements between the organisation and its members.

iv. **Unity of Command.** In any action, the employee should receive orders from one superior only, if not the authority is undermined and discipline, order and stability is threatened. Dual command is a perpetual source of conflict.

v. **Unity of direction.** In order to provide for unity of action, coordination and focusing of effort, there should be one head and one plan for any group of activities with the same objective.

vi. **Subordination of individual interest to the general interest.** The interest of the organisation should dominate individual or group interests.

vii. **Remuneration of Personnel.** Remuneration should as far as possible satisfy both the employee and the employer. Methods of work can influence the organizational performance and it should be fair and should encourage keenness by rewarding well-deserved effort.

viii. **Centralisation** is always present to some extent in any organisation.

The extent of centralisation is a question of proportion and will vary with a particular organization

ix. **Scalar Chain.** The chain of superiors from the ultimate authority to the lowest ranks should be clearly outlined. Respect for line of authority must be reconciled with activities, which require urgent action and some measure of initiative at all levels of authority.

x. **Order.** This includes material and social order. Material order is required for the avoidance of loss with each item placed at the appointed place. In social order, there should be an appointed place for each employee and each employee in his/her appointed place.

xi. **Equity.** There should be equity and equality of treatment in dealing with employees through out all1evels of the scalar chain.

xii. **Stability of tenure of personnel.** Generally, prosperous organisations have stable managerial personnel, but changes of personnel are inevitable and stability of tenure is a question of proportion.

xiii. **Initiative.** This represents a source of strength for the organisation and should be encouraged and developed. Tact and integrity are important to promote initiative and to retain respect for authority and discipline.

xiv. **Esprit de corps** should be fostered, as harmony and unity among members of the organisation is a great strength in the organisation. The principle of unity of command should be observed to avoid the dangers of divide and rule of one's own team and abuse of written communication.

ELEMENT 3.2 MANAGEMENT THEORIES

The study of management theory is important for the following reasons:

i) What leading writers say is an important part of the study of management;
ii) It is necessary to view the interrelationships between the development of theory, behaviour in organisation and management practice;
iii) An understanding of the development of management thinking helps in understanding principles underlying the process of management;
iv) Knowledge of history helps in understanding the nature of management and organisational behaviour and the reasons for the attention given to the main topical areas; and
v) Many of the earlier ideas are of continuing importance to the manager and later ideas on management tend to incorporate earlier ideas and conclusions.

The study of management has been categorised into either of the following approaches, namely classical approach, human relations school, systems approach and the contingency or contemporary theories of management. The various approaches to management theory have tended to focus on approaches to organisational structure and management aimed at making the student understand how the organisation works.

A CLASSICAL APPROACH OR THEORY

Introduction

The classical theory of management was promoted by early management thinkers like Frederick Taylor with his scientific management and Henri Fayol with his principles of management. The classical theorists thought of an organisation in terms of its purpose and formal structure. The focus is largely on the need to plan the work, stating the technical requirements, principles of management and the assumption of rational and logical behaviour.

Under this approach, a clear understanding of the purpose of an organisation is seen as essential to understanding how the organisation works and how its methods of working can be improved. Setting objectives lead to the clarification of purposes and responsibilities at all levels of the organisation and to the most effective structure.

The classical approaches place its attention on the division of work, the clear definition of duties and responsibilities, and maintaining specialisation and coordination. Emphasis is on a hierarchy of management and formal organisational relationships.

Two most publicised classical management approaches are the scientific management and the bureaucratic organisations.

i) Scientific Management

Many classical writers were concerned with the improvement of management as a means of increasing productivity through the technical structuring of the work organisation and provision of monetary incentives as a motivator for higher levels of outputs.

Frederick W Taylor (1856 - 1917) promoted the idea of scientific management approach focusing largely on working methods by which people should undertake their jobs. He believed that work processes could be analysed into discrete tasks and that by scientific method, it was possible to find the one best way to perform each task. He was concerned with finding more efficient methods and procedures for coordination and control of work. He developed a number of principles to guide management, namely:

a) The development of a true science for each person's work;
b) The scientific selection, training and development of the workers;
c) Cooperation with the workers to ensure that work carried out in the prescribed way;
d) The division of work and responsibility between management and the workers.
e) Cooperation with the workers to ensure work is carried out in the prescribed way; and
f) The division of work and responsibility between management and the workers.

The central theme of Taylor's work was not inefficiency but the need to substitute industrial welfare by industrial harmony.
Taylor sought to do this through:

a) Higher wages from increased output;
b) The removal of physical strain from doing work the wrong way;
c) Development of the workers and the opportunity for them to undertake tasks they were capable of doing; and
d) Elimination of the boss by the duty of management to help the workers.

The scientific management was criticised for its simplification of work making the jobs boring, repetitive and requiring little skill to do. Further studies revealed that the scientific method gave high levels of uncontrolled power to the production managers/supervisors.

Despite the criticism, scientific management has justified managerial control over the production process and removed decision making from employees and from owners as well. This approach diminished the direct involvement of owners or shareholders in day-today decision making. The scientific management theory has contributed to the modern management by such practices as works study, organisation and methods, payment by results, management by exception and production control

ii) Bureaucracy

A bureaucracy is a form of structure you find in many large-scale organisations. Max Weber, a German sociologist believed that the definition of tasks and responsibilities within the structure of management gave rise to a permanent administration and standardisation of work procedures notwithstanding changes in the actual holders of office. This is particularly true for very large organisations and public service institutions like government ministries, cabinet office, etc. Bureaucratic organisations apply to certain structural features of formal organisations. Bureaucracy has tended to be criticised to connote red tape and rigidity. However, government departments can only efficiently operate if they followed the bureaucratic principles, as a form of introducing/ maintaining order and rationality into social life.

Main Characteristics of Bureaucracies

Weber did not define bureaucracy but attempted to identify the main characteristics of this type of organisation. He emphasised on the importance of administration based on expertise (rules of experts) and administration based on discipline (rules of officials).

The characteristics of a bureaucratic organisation included the following:

a) The tasks of the organisation are allocated as official duties among positions.
b) There is an implied clear-cut division of labour and a high level of specialisation.
c) A hierarchical authority applies to the organisation of offices and positions.
d) Uniformity of decisions and actions is achieved through formally established systems of rules and regulations. Together with authority, this enables the coordination of various activities within the organisation.
e) An impersonal orientation is expected from officials in their dealings with clients and other officials. This meant to promote

rational judgements by officials in their performance of their duties.

f) Employment by the organisation is based on technical qualifications and constitutes a lifelong career for the officials.

R Stewart in his reality of management summarised the main features of bureaucracy as specialisation, hierarchy of authority, systems of rules and impersonality.

Criticism/Disadvantages of Bureaucracy

i. The over-emphasis on rules and procedures, record keeping and paperwork may become more important in its own right than as a means to an end.
ii. Officials may develop a dependence upon bureaucratic status, symbols and rules.
iii. Initiative may be stifled and when a situation is not covered by complete set of rules or procedures, there may be a lack of flexibility or adaptation to changing circumstances.
iv. Position and responsibilities in the organisation can lead to officious bureaucratic behaviour. There may also be a tendency to conceal administrative procedures from outsiders.
v. Impersonal relations can lead to stereotyped behaviour and a lack of responsiveness to individual incidents or problems.
vi. Bureaucracies provide safe haven where managers can hide from responsibility and avoid being held accountable for errors of judgement or problems they created or failed to solve.

Evaluation of Bureaucracy

i. Bureaucracies come through increasing size and complexity of organisations and associated demand for effective administration.
ii. It has given emphasis to the careful design and planning of organisation structure and definition of individual duties and responsibilities.
iii. An effective organisation is based on structure and delegation through different layers of the hierarchy.
iv. Greater specialisation and expertise and technical knowledge highlighted the need for laid-down procedures.
v. However, increased changes in the external environment, de-layering of organisations, empowerment, and greater attention to meeting the needs of customers have increased the need for flexibility.

B HUMAN RELATIONS SCHOOL

While the classical approaches focused on the structure and the formal organisation, the human relations school approach focused on the social factors of work and the behaviour of employees within the organisation.

2.1. The Hawthorne Experiments

The most famous works under this approach was the Hawthorne experiments of Elton Mayo at the Western Electric Company in USA (1924 -32). The four main phases of the Hawthorne experiments were as follows:

- The illumination experiment
- The relay assembly test room
- The interviewing programme
- The bank wiring observation room

i. The illumination Experiments

The experiment was initially testing the validity of the classical approach using the scientific management style with the effects of the intensity of heat on workers productivity. The workers were divided into two groups thus the experimental group and the control group. There was no conclusion on this experiment on the possible relationship between the level of lighting and productivity. In some cases, productivity improved when the conditions were made much worse. This simply means that the level of production was influenced by factors outside the physical conditions of work.

ii. The relay assembly test room

In the relay assembly test room, the work was boring and repetitive. A team was created that had a mixer of friends and in some cases merely co-workers. The researchers divided the experiment into 13 periods during which the workers were subjected to a series of planned and controlled changes to their conditions of work, such as hours of work, rest pauses and provision of refreshments.

During the experiments, the observer adopted a friendly approach, consulting with the workers, listening to their complaints and keeping them informed of the experiment. There was a general increase in production. The researchers concluded that extra attention given to the workers and the apparent interest in them shown by management was the main reason for higher productivity.

iii. The interviewing programme

The preceding phases of the experiment drew attention to the effect of supervision on worker's productivity. Under this phase, the research sought to establish the feelings of workers towards their supervisors and the general conditions of work through a large interviewing programme. Initially the interviewers formulated a structured questionnaire focused on the views of workers on their jobs. The questionnaires produced limited information and the workers talked about other issues other than supervision and immediate working conditions.

The style of interviewing was changed with and introduced more non-directive and open-ended questions. The interviewers set out to be friendly and sympathetic and adopted an impartial, non-judgmental approach and concentrated on listening. This approach produced some very valuable information of the workers' views on supervision, working conditions, company itself, management, work group relations and matters outside the work such as family life and views on society. Many workers welcomed the opportunity of having someone to talk to about their feelings and problems. This experiment led to an impetus to the development of the human resource management and use of counselling interviews and the need for management to listen to the workers feelings and problems. Being a good listener is still very important in today's management thinking.

iv. The bank wiring observation room

This experiment involved the observation of 14 men working in the bank wiring room. The results revealed that men tended to form informal working groups, with subgroups or cliques with natural leaders emerging with the consent of other members. The group formed its own social relationships with group norms of what constituted a proper behaviour. The group controlled output levels despite the availability of financial incentives for more output. The group pressure on individual workers was stronger than the management financial incentives.

2.2 Evaluation of the Human Relations School

This approach has been subjected to severe criticism as follows:

a. The Hawthorne experiments have been criticised on their methodology, and on the failure of the investigators to take sufficient account of environmental factors.

b. The human relations advocates were criticised for the adoption of a management perspective, their unitary frame of reference and their oversimplified theories.

c. It was insufficiently scientific, took a narrow view and ignored the role of the organisation itself in how society operated.

2.3 Importance of the Hawthorne Experiment

a. They did develop new ideas concerning the importance of work groups and leadership, communications, output restrictions, motivation and job design.

b. They placed emphasis on the importance of personnel management and gave impetus to the work of the human relations writers.

c. They undoubtedly marked a significant step forward in providing a further insight into human behaviour at work and the development of management thinking.

C SYSTEMS THEORY

One of the founders of the systems theory was biologist Ludwig von Bertalanffy (1951) who used the systems theory. The classical approach emphasised technical requirements of organisations thus organisations without people while the human relations school emphasised the psychological and social aspects and the consideration of human needs thus people without organisations. The systems approach attempted to reconcile these two approaches and focused on the analysis of organisations as systems with a number of interrelated subsystems.

The systems approach focused on the total work organisation and the interrelationships of structure and behaviour and the range of variables with the organisation. Organisations are complex social systems and are more open to change than lower-level simple dynamic or cybernetic system.

The business as an open system

A business organisation is an open system with continuous interaction with the external environment of which it is part. An organisation is viewed within the total environment and emphasises the importance of the multiple channels of interaction. The systems approach views the organisation as a whole and involves the study of the organisation in terms of the relationship between technical and social variables within the system. Any changes in one will affect the other parts and thus the whole system.

D.CONTEMPORARY CONTINGENCY THEORY OF MANAGEMENT

The classical approach suggested one best form of structure and placed emphasis on general sets of principles while the human relationships approach gave little attention at all to the structure.

The contingency approach renewed the importance of structure as a significant influence on organisational performance. Contingency approach assumes that there is no one optimum state. The approach for instance states that the structure of organisation and its success are dependent thus contingent on the nature of tasks, with which it is designed to deal with and the nature of environmental influences.

The most appropriate structure and system of management will always depend upon contingencies of the situation for a particular organisation. The approach argues that managers should not seek to suggest one best way to structure or manage the organisations but should provide insights into the situational and contextual factors, which influence management.

Questions

1. Why is the study of the management theory important? Explain.

2. Even though the human relations school of thought (Hawthorne experiments) was criticised, there were still some very significant learning experiences from these studies. Outline the important experiences learned from the Hawthorne studies/experiments.

3. All organisations today cannot do without some bureaucratic practices in their day-to-day management. Is this statement correct? Give reasons for your answer.

4. Explain at least four approaches to the practice of management. Discuss your understanding of the theory/approach to management.

5. The principles of management propounded by Henri Fayol had a significant impact on management even today. Outline the principles of management and explain their impact on modern management.

CHAPTER 4.0

MOTIVATION

Learning objectives

After completing this unit, the student shall be able to:

- Understand the meaning and underlying concept of motivation;
- Appreciate the various types of need and expectations of people at work;
- Be able to understand the theory of motivation
- Review the complex nature of work motivation and rewards.

ELEMENT 4.1 THEORIES OF MOTIVATION

Introduction

The relationship between the organisation and its members is influenced by what motivates them to work, the reward system and the fulfilment they derive from it. The manager or supervisor needs to know how best to elicit the cooperation of staff and direct their performance to achieving the goals and objectives of the organisation. The manager must understand the nature of human behaviour and how best to motivate staff so that they work willingly and effectively. In summary, the study of motivation is concerned basically with why people behave in a certain way.

Motivation may be defined as the direction and persistence of action. It is concerned with why people choose a particular course of action in preference to others and why they continue with a chosen action, often over a long period, and in the face of difficulties and problems.

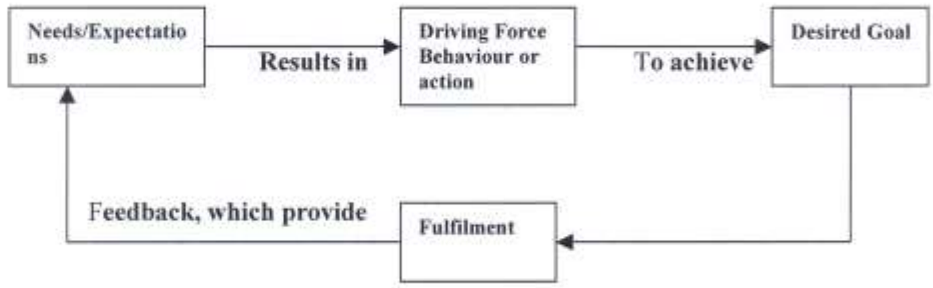
Process of Motivation

Four common characteristics of motivation theories are as follows:

a. Motivation is typified as an individual phenomenon, as each person is unique.
b. Motivation is described, usually as intentional as it is under the worker's control.
c. Motivation is multifaceted as it revolves around what makes a person activated or aroused and the force of an individual to engage in desired behaviour.
d. The purpose of motivational theories is to predict behaviour thus the internal and external factors that influence a person's choice of action.

The underlying concept of motivation is some driving force within individuals by which they attempt to achieve some goal in order to fulfil some need or expectation. The basic motivation model is as given below.

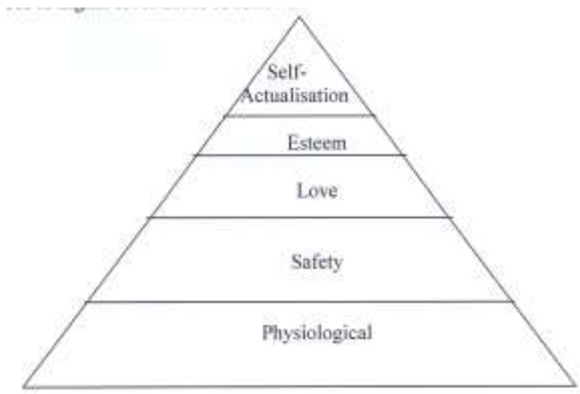
Performance = function (ability x motivation)



Maslow's Hierarchy of Needs Model

Maslow's basic assumption was that people are wanting beings, they always want more and what they want depends on what they already have. He suggested that human needs are arranged in some form of levels, a hierarchy of importance. He identified the hierarchy to range through to five levels from the lowest level namely physiological needs, through safety needs, love needs, esteem needs to the need for self actualisation at the highest level.

The hierarchy of needs are usually shown in a pyramid,, which reduce as one goes to higher level needs as follows.



a. **Physiological Needs.** These include needs for satisfaction of hunger and thirst, need for sleep, sensory pleasures, activities, material behaviour and sex desire.

b. **Safety Needs.** These include safety and security, freedom from pain or threat of physical attack, protection from danger or deprivation and the need for predictability and orderliness.

c. **Love or Social Needs.** These include needs for affection, sense of belonging, social activities, friendship, and giving and receiving of love.

d. **Esteem or Ego Needs.** These include self-respect and esteem of others. Self-respect involves the desire for confidence, strength, independence and freedom and achievement. Esteem of others means reputation or prestige, status, recognition, attention and appreciation.

e. **Self-Actualisation Needs.** This is the development and realisation of one's full potential. Maslow regards this as what humans can be, they must be, becoming everything that one is capable of becoming.

Once a lower level need is satisfied, it no longer acts as a strong motivator but the higher level need becomes the motivator and so on. Thus a satisfied need is no longer a motivator.

Evaluation of Maslow's theory

Maslow based his theory on the assumption that once lower level needs are satisfied, giving more of the same does not provide motivation. However there were some problems in applying the theory to work situations.

i. People do not necessarily satisfy their needs especially higher-level needs, just through the work situations but other areas.
ii. There is doubt about the time which lapses between the satisfaction of a lower level need and the emergence of a higher level need.
iii. Individual differences mean that people place different values on the same need.
iv. Some rewards or outcomes at work satisfy more than one need, e.g. salary or promotion.
v. Even for people within the same level of hierarchy, motivating factors will not be the same.
vi. Maslow viewed satisfaction, as the main motivational behaviour but job satisfaction does not necessarily lead to improved work performance

Hertzberg's two-factor theory

Hertzberg carried out interviews with 203 accountants and engineers from different industries. Using critical incident methods, he asked respondents to indicate when they felt exceptionally good or exceptionally bad about their jobs or previous jobs. They were requested to give reasons for either condition. The findings revealed two different sets of factors affecting motivation. The two-factor model of Hertzberg was born from these interviews namely motivators and hygiene factors.

a. **Hygiene or Maintenance factors.** These factors are related to the job context, thus job environment. They serve to prevent dissatisfaction but do not lead to motivation. These factors are necessary to avoid unpleasantness.

b. **Motivators or Growth factors.** These are factors that create a feeling of satisfaction but not dissatisfaction. The motivators relate to what people are allowed to do and the quality of human experience at work.

Hertzberg's work or the motivation-hygiene theory extended Maslow's hierarchy of needs theory and is more directly applicable to the work situations.

Personality Attitudes

Through experience and learning, people acquire beliefs and attitudes, which influence their behaviours towards work. A belief is a descriptive thought that a person holds about something such as the value of work and work processes. Attitudes describe a person's enduring favourable or unfavourable cognitive evaluations, emotional feelings and action tendencies towards some object or idea. The beliefs and attitudes are personality factors that have a bearing towards one's attitude to work. Each person has distinct personality that will influence his or her work ethic and motivations towards work. Essentially, what intrinsically motivates an individual to carry out work assignments willingly?

Personality is the person's distinguishing characteristics that lead to consistent and enduring responses to his or her environment. Personality is usually described in terms of traits such as self-confidence, dominance, autonomy, deference, sociability, defensiveness, and adaptability or rigidity.

Achievement Motivation Theory or Personal Achievement Needs

McClelland's work on achievement motivation theory started from investigations into the relationship between hunger needs and the extent to which imagery of food dominated thought processes. McClelland identified four main arousal-based and socially developed motives:

- The Achievement motive,
- The Power motive,
- The Affiliative motive, and
- The Avoidance motive

The first three motives were roughly equivalent to Maslow's self-actualisation esteem and love needs. The relative intensity of these motives varies with individuals and different occupations.

Managers in general tend to be higher in achievement motivation than in Affiliative motivation. He saw the achievement motivation as the most critical for the country's economic growth and success, which is linked to the entrepreneurial spirit.

The extent of the achievement motivation varies between individuals. Some think of achievement as a lot more than others. Some rate highly in achievement motivation and are challenged by opportunities and work hard to achieve a goal. McClelland suggests four steps in attempting to develop achievement drive.

i. Striving to attain feedback on performance
ii. Developing models of achievement by seeking to emulate people who have performed well.
iii. Attempting to modify their image and to see them, as needing challenges and success.
iv. Controlling daydreaming and thinking about themselves in more positive terms.

Goal Theory and Management by Objectives

The goal theory or goal setting theory is based on the work of Locke. The basic premise of the goal theory is that people's goals or intentions play an important part in the determining of behaviour. People strive to achieve goals in order to satisfy their emotions and desires. Goals guide people's responses and actions. Goals direct work behaviour and performance and lead to certain consequences or feedback. Locke viewed goal setting as a motivational technique rather than a formal theory of motivation.

Implications of goal setting

- Specific performance goals should systematically be identified and set in order to direct behaviour and maintain motivation.

- Goals should be set at a challenging but realistic level. Difficult goals lead to higher motivation.
- Complete, accurate and timely feedback and knowledge of results is usually associated with high performance, and
- Goals can be determined either by a superior or by individuals themselves. Participation in goal setting tends to be acceptable by all.

Goal setting is generally associated with Management by Objectives (MBO). MBO is an application of goal setting and performance. MBO is a system or style of management, which attempts to link organisational goals to individual performance and development through the participation of all levels of management. The underlying basis of the MBO is:

- The setting of objectives and targets;
- Participation of individual managers in agreeing unit objectives and criteria of performance; and
- The continual review and appraisal of results

Career Development

Career development is sometimes regarded as a form or a way of motivating people at work for increased 'productivity’. The socialisation period has been found to have a marked effect on the performance and work related values. Training opportunities are vital for personal development and career success. Career development has been found to be one of the practices that help retain staff.

In career development, it is important that organisations build processes to ensure mutuality with employees. Processes include provision of information, negotiation with staff, monitoring and renegotiating and/or exiting. The critical success factors for career development identified include the following:

- It must embody a transparent process owned by managers;
- It must be a process that can evolve through time with existing Human Resources systems;
- It must comprise a system based on full information about people's career expectations and about the needs of the organisation;
- There must be a measurement of standards to show whether the system works;
- There must be clear communication about the development processes and responsibilities to all employees and provision for all employees of relevant and full information about career paths; and
- There must be support for employees in planning their development.

Job design and Re-design

The need to understand the dimensions of job satisfaction and work performance has led to increasing interest in job design. The nature of the organisation and the design of jobs can have a significant effect on satisfaction of staff and the level of organisational performance. Some of the writers associated with the job design include Hertzberg on his two-factor model of motivation.

Job design is concerned with the relationship between workers and the nature and content oj the jobs, and their task junctions.

The process of restructuring the job when found to be dissatisfying was carried out in at least the following three methods, namely job rotation, job enlargement and job enrichment.

i. **Job rotation** is the most common form of individual job redesign. It involves the moving of a person from one job or task to another aimed at adding some variety and help remove boredom at least in the short term. This is more pronounced where the jobs are similar and routine. Employees within the medium term would find the new job boring again.

ii. **Job enlargement** involves increasing the scope of the job and the range of tasks that a person carries out. It may be achieved by combining a number of related operations at the same level. Job enlargement is horizontal job redesign; it makes a job structurally bigger. It lengthens the time cycle of operations and may offer greater variety. Not always popular with workers as it may not improve a person's intrinsic satisfaction or sense of achievement. Workers would see this as increasing the number of routine and boring tasks.

iii. **Job Enrichment** is an extension of the more basic job rotation and job enlargement methods of job design. This method attempts to enrich the job by incorporating motivating or growth factors such as increased responsibility and involvement, opportunities for advancement and the sense of achievement. Job enrichment involves vertical job enlargement. It aims to give the person greater autonomy and authority over the planning, execution and control of their own work. This is sometimes referred to as empowerment.

Main factors to take into account to achieve job enrichment include:

a. Permitting workers greater freedom and control over scheduling and pacing of their work as opposed to machine pacing;
b. Allowing workers to undertake full task cycle to achieve a complete service;
c. Providing workers with tasks or jobs which challenge their abilities and make fuller use of their training, expertise and skills;
d. Giving workers greater freedom to work in self managing teams with greater responsibility for monitoring their own performance and minimum of direct supervision;
e. Providing workers with the opportunity to have greater direct contact with clients, consumers or users of the product or service.

Questions

1. The concern or challenge of every manager is to lead a group of highly motivated employees believing that they may be more productive. Explain two motivation theories you are very familiar with.

2. Career development is an important consideration of any employee for his growth in the organisation is enshrined in career development policy of the company. Explain how career development and job redesign are important in productivity improvement.

3. Why is it important for managers to strive to know the levels of motivation of their subordinates? Discuss.

4. Though the Maslow's theory of motivation is among the most popular theories used in motivating staff, its application still leaves a lot to be desired. As a manager, identify and discuss the weaknesses of the theory.

5. Goals direct work behaviour and performance and lead to certain consequences or feedback. What factors make goal setting a motivational tool rather than a formal theory of motivation?

6. One way of motivating employees is by putting in place a well structured career development. As a manager, what do you think would constitute the critical success factors to enable the career development programme succeed.

7. The need to understand the dimensions of job satisfaction and good performance on the job have led to increasing interest in job design. Outline the three major methods that can be used to make the job attractive to the incumbent.

CHAPTER 5.0

ORGANISATION STRUCTURE AND DESIGN

Learning Objectives

At the end of this chapter, the student shall be able to:

- Understand the meaning and nature of organisation structures;
- Identify the layers in an organisation and discuss the importance of hierarchy;
- Understand the factors to be considered when designing the organisation structure and different methods used in the division of work;
- Review the relevance and application of principles of organisation and organisational relationships;
- Explain the importance of good structures and the consequences of a deficient structure; and
- Explain the importance of structures in influencing the behaviour of people and organisational performance.

In order to achieve its goals and objectives, the organisation has to be divided among employees. Some form of structure is necessary to make it possible for effective performance of key activities and to support the efforts of staff. Structure provides a framework of an organisation and its pattern of management.

A structure is the pattern of relationships among positions in the organisation and among employees of the organisation. Structure makes possible the practice oj the process of management and creates a framework of order and command through which the activities of the organisation can be planned, organised, directed and controlled. Structure defines tasks and responsibilities, work roles and relationships and channels of communication

a) Objectives of a structure

The objectives of a structure provides for the following:

i. The economic and efficient performance of the organisation and the level of resource utilisation;
ii. Monitoring the activities of the organisation;
iii. Accountability for areas of work undertaken by groups and individual members of the organisation;
iv. Coordination of different parts of the organisation and different areas of work;
v. Flexibility in order to respond to future demands and developments, and to adopt challenging environment influences; and
vi. The social satisfaction, of members working in the organisation.

b) The importance of a good structure

According to Peter Drucker, it is the correct design of structure, which is of most significance in determining organisational performance. A good structure does not in itself produce good performance. But a poor organisation structure makes good performance impossible, no matter how good the individual managers may be. To improve organisation structure, will always improve performance.

According to John Child, a good structure provides a framework for allocation of responsibilities, the grouping of functions, decision making, coordination, control and reward - all these are fundamental requirements for the continued operation of an organisation. The quality of an organisation's structure will affect how well these requirements are met.

The structure of an organisation does not only affect productivity and economic efficiency but the morale and job satisfaction of the workforce.

c) Basic considerations in design of an organisation structure

A clear definition of objectives is important so as to provide a basis for the division of work and grouping of duties into subunits. The basic concepts in the organisation design are as follows:

i. Work specialisation

That is the division of work among members and different jobs related to each other. Division of work or specialisation and the grouping together of people should wherever possible be organised by reference to some characteristic, which forms a logical link between activities involved. However specialisation is encouraged at the operative level but with emphasis on the subject matter or function at a higher level.

Specialisation through the use of same resources or shared expertise of employees is one of the basis used for grouping activities. Each organisation is at liberty to determine which activities are important to be grouped into a function, department or section. The obvious example would be a functional structure according to specialisations.

ii. Departmentalisation

The grouping of specialised tasks and functions into departments is what departmentalisation is concerned about. The division of labour creates specialists who need to be coordinated. The coordination is facilitated by putting specialists together in departments under the direction· of a senior officer. Decisions on the methods of grouping will include:

a) The need for coordination,
b) The identification of closely defined divisions of work,
c) Economy,
d) The process of managing the activities,
e) Avoiding conflict, and
f) The design of work organisation which takes account of the nature of staff employed

iii. Chain of Command

This refers to the number of different levels in the structure of the organisation, the chain or lines of hierarchical command also called scalar chain. The chain of command establishes the vertical graduation of authority and responsibility and the framework for superior - subordinate relationships in an unbroken line down from the top of the organisation.

It is generally accepted that for reasons of morale and decision-making and communication, there should be as few levels as possible in the chain of command. The span of control and the chain of command determine the overall pyramid of the organisation and whether the structure is flat or tall. Broader spans of control and few levels of authority result in a flat hierarchical structure. On the other hand narrower spans of control and more levels of authority result in a taller hierarchical structure.

The need for improved efficiency and competitiveness, the demand for more participative styles of management and greater involvement of staff and developments in information technology have all contributed to a general movement towards downsizing or flatter organisation structure. Potential benefits of flatter structures include savings on managerial costs, improved communication and reduction in the length of the chain with fewer levels between the top and base of the hierarchical pyramid.

iv. **Span of Control**

Span of control arises in the line of authority and refers to the number of subordinates who report directly to a given manager or supervisor. This refers to staff in the department who does not report to any other person but the supervisor.

Factors influencing or likely to limit the span of control are as follows:

a) Nature of the organisation, the complexity of the work and similarity of functions and the range of responsibilities.
b) The ability and personal quality of the manager including the capacity to cope with interruptions;
c) The amount of time the manager has available from other activities to spend with subordinates;
d) The ability and training of subordinate staff, strength of their motivation and commitment and the extent of direction and guidance needed;
e) The effectiveness of coordination and the nature of communication and control systems;
f) The physical location or geographical spread of subordinates; and
g) The length of the scalar chain.

The importance of a correct Span of Control may be discussed under the following two categories:

i) **Too wide a span of control** makes it difficult to supervise subordinates effectively and this places more stress on the manager. In larger organisations, informal groups or cliques start to develop and these may operate contrary to the policy of management. There may be lack of time to carry out all activities properly. Planning, training and inspection and control may suffer leading to poor job performance.

ii) **Too narrow a span of control** may present a problem of coordination and consistency in decision-making, and hinder effective communications across the organisation structure. Morale and initiative of subordinates may suffer as a result of close supervision. Narrow span of control increases administrative costs and limit the best use of limited resources.

v. Centralisation and decentralisation

The delegation of responsibility and authority decentralises decision making. In a centralised organisation, important decisions are usually made at the top. In decentralised organisations, more decisions are made at lower levels in the structure. Ideally, decision making occurs at the level of the people who are most directly affected and have the most intimate knowledge about the problem. This is particularly important when the business environment is fast changing and decisions have to be made timely.

When there is division of labour and activities are grouped, the challenge expected to be experienced is the extent of centralisation and decentralisation. The factors that will influence the extent of centralisation or decentralisation are (a) organisational size, (b) the geographical separation of different parts of the organisation and (c) the need to extend activities or services to remote areas.

The main argument for centralisation is the economic and administrative considerations, though not always realised. There are also behavioural considerations. Centralised organisations create mechanistic structures and may lengthen the chain of command.

The advantages of Centralisation are as follows:

a) The ease of implementation of common policy for the organisation as a whole;
b) Providing a consistent strategy across the organisation;
c) Preventing sub-units becoming too independent;
d) Making for easier coordination and management control;
e) Improved economies of scale and reduction in overhead costs;
f) Greater use of specialisation, including better facilities and equipment; and
g) Improved decision-making, which might otherwise be slower and a result of compromise because of diffused authority.

Advantages of Decentralisation are as follows:

a) Enables decisions to be made easier at the operational level of work;
b) Increased responsiveness to local situations;
c) Improved level of personal customer service;
d) More closer to the developments in flatter and more flexible structures;
e) Support services, such as administration, are more likely to be effective if provided as close as possible to the activities they are intended to serve;
f) Provides opportunities for training and development in management; and
g) Usually, it has an encouraging effect on the motivation and morale for staff.

Decentralisation should consider the nature of the product or service provided, policy-making provided, day-to-day management of the organisation and the need to standardise procedures, conditions or terms of employment of staff.

Decentralisation is easier in private enterprises than in public enterprises because of greater demand for accountability of their operations, regularity of procedures and uniformity of employment.

vi. Formalisation

Formalisation is the extent to which an organisation relies on rules and procedures to direct the behaviour of employees. Formalisation refers to the presence of formal rules; policies, job descriptions and other regulations that define acceptable practices and constrain behaviour. The more rules and procedures in the organisation, the more formalised the organisation's structure is. Some organisations have many rules and regulations and while others have very few such rules and procedures.

> *A formal organisation may be defined as the planned coordination of the activities of a number of people for the achievement of some common explicit purpose or goal through division of labour and function, and through a hierarchy of authority and responsibility*

ELEMENT 5.2 ORGANISATIONAL RELATIONSHIPS

Informal relationships are adhoc relationships between individuals in an organisation. Such informal relationships are common in small privately owned organisations. All reporting relationships are through the owner of the organisation. Such relationships are not defined.

When the organisation grows in size, they cannot easily be managed on an informal basis and the need for formal relationship grows. When the organisation grows, formal structures are developed with formal relationships between individual positions arising from the defined pattern of responsibilities. Key concepts in individual authority relationships are line, functional, staff or lateral.

a) Line relationship is where authority flows vertically through the structure - the chain of command. For instance from the Managing Director to Managers, section Leaders etc. Line relationships are associated with functional or departmental divisions of work and organisational control. Such relationships may lead to line organisations.

b) Functional relationships apply to relationships between people in specialist or advisory positions and the line managers and their subordinates. Specialists offer a common service to all departments throughout the organisation but with no direct authority over those who make use of the service. eg the Human Resources department.

c) Staff relationships arise from the appointment of personal assistants to senior managers. People in staff positions have little or no direct authority in their own right but have derived authority from their superiors for instance the special assistants to the President. They may act as "gatekeepers."

d) Lateral relationships exist between individuals in different departments or sections and usually individuals at the same level. Lateral consultations are based on contact and consultations to maintain coordination for effective organisational performance.

e) Project Relationships are a combination of line, functional and lateral relationship on matters related to the project.

ELEMENT 5.2 ORGANISATIONAL DESIGNS

i) **Simple structure**

A simple structure is generally found in small organisations. It is defined as an informal or not an elaborate or no structure. A simple structure is low in complexity, has little formalisation and has its authority centralised in a single person. A simple structure is a very flat organisation with two or three vertical levels, a loose body of employees and one individual in whom the decision-making authority is centralised.

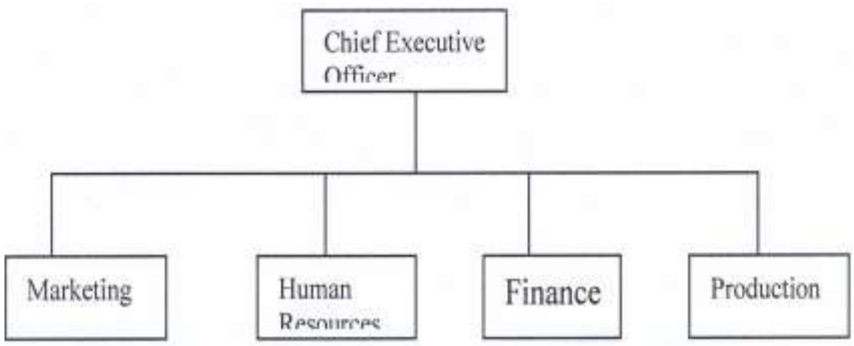
Advantages and Disadvantages of a Simple structure

a) It is fast, flexible and inexpensive to maintain and accountability is clear.
b) Its major weakness is that it is effective only in small organisations.
c) It becomes increasingly inadequate as an organisation grows.
d) Because of its low formalisation and high centralisation, there is information overload at the top.
e) A simple structure is too risky as it depends on one person, as one heart attack can literally destroy the organisation.

ii) Bureaucracy or Functional structure

A functional structure is basically bureaucratic in nature. It is organised around functional specialisations, thus structuring an organisation by grouping similar and related occupational specialities together.

Fig 5: Illustrates a functional structure.



Advantages of a Functional structure

The traditional functional approach to departmentalisation has a number of advantages for an organisation. Some of the advantages of functional structure include the following:

a) **Economies of Scale can be realised.** When people with similar skills are grouped, more efficient equipment can be purchased and discounts for large purchases can be used.

b) **Monitoring of the environment is more effective:** Each functional group is more closely attuned to developments in its own field and therefore can adapt more readily.

c) **Performance standards are better monitored.** People with similar training and interests may develop a shared concern for performance in their jobs.

d) People have greater opportunity for **specialised training and in-depth skills development.**

e) Technical specialists are relatively **free of administrative work.**

f) **Decision making and lines of communication** are simple and clearly understood

Disadvantages of a Functional structure

a) People may care more for their own functional interests than the company as a whole. Their attention to functional tasks makes them lose focus on overall product quality and customer satisfaction.

b) Managers develop functional expertise but do not acquire knowledge of other areas of the business; they become specialists and not generalists.

c) Between functions, conflicts arise and communications and coordination fall off. In short, while functional differentiation may exist, functional integration may not. Functional structures have inherent dysfunctional conflict and competition, as employees see themselves to be in silos or trenches.

iii) Matrix Structure

Definition

A matrix structure is an organisational design that assigns specialists from functional departments to work on one or more projects that are led by a project manager.

The matrix structures offer the advantages of functional structures and product departmentalisation while avoiding their weaknesses. They suffer from duplication of activities and resources. It combines the functional and product departmentalisation. It creates a dual chain of command. It explicitly breaks the classical principle of unity of command.

A typical matrix structure is found in a Business School or any faculty of the university where the head of academic programmes has no lecturers. Lecturers fall under different departments of the School. The MBA programme shall be undertaken in a Business School. The head of programme shall call upon the skills of staff from various departments like Finance, Marketing, or Human Resource Management. For such programmes to be successfully operational, the head of programme shall require to work very closely with heads of departments to provide lecturers.

When a company is involved in the development of a project, they will tend to use a matrix structure as they will request for skilled staff from various departments of the company. The company will avoid duplication of human resources. A typical matrix structure is shown in figure 1 below.

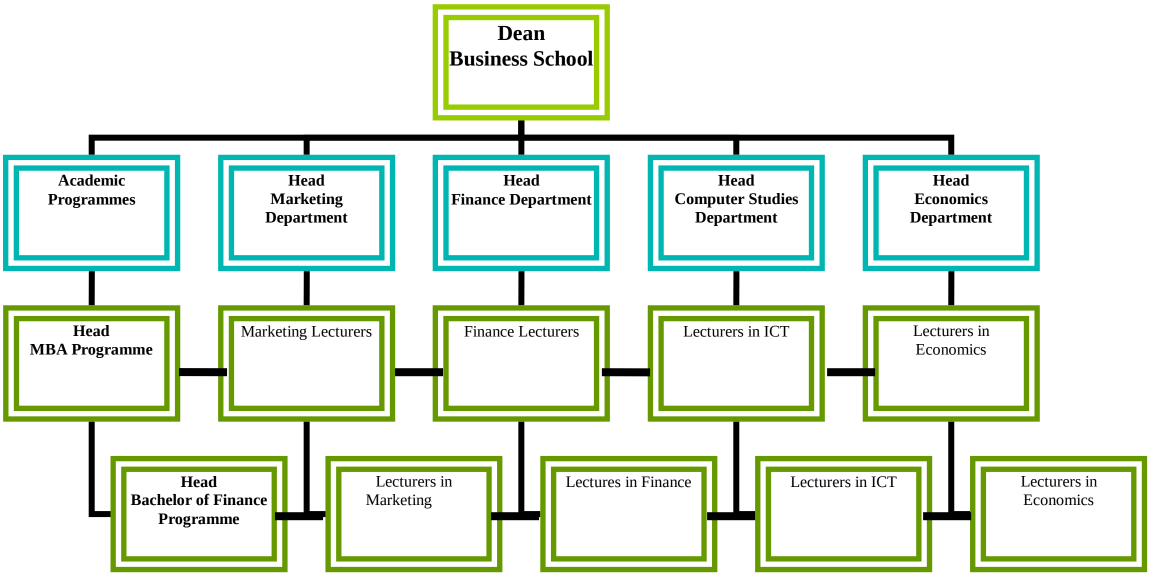


Fig.1: A Typical matrix structure in an academic setting.

Advantages of the Matrix Structure

a) Decision making is decentralised to a level where information is processed properly and relevant knowledge applied.
b) Extensive communications networks help develop process large amounts of information.
c) With decisions delegated to appropriate levels (project level) higher management levels are not overloaded with operational decisions.
d) Resource utilisation is efficient because key resources are shared across several important programmes or products at the same time.
e) Employees learn the collaborative skills needed to function in an environment characterised by frequent meetings and more informal interactions.
f) Dual career ladders are established as more career options become available on both sides of the organisation.

Disadvantages of a Matrix Structure

a) Confusion can arise because people do not have a single superior to whom they have primary responsibility.
b) The design encourages managers who have subordinates to jockey for power.
c) The mistaken belief can arise that matrix management is the same thing as group decisions making – in other words everyone must be consulted for every decision.
d) Too much democracy can lead to not enough action.

Questions

a) Explain the basic considerations in the design of an organisation structure.

b) (i) Explain the various organisational relationships found in most organisations.

(ii) Discuss the organisational designs suitable for each organisational

c) The functional organisation will not disappear, in part because functional specialists will always be needed, but functional managers will make fewer decisions. Discuss this statement in relation to the advantages and disadvantages of the functional organisation structure.

d) A matrix is a hybrid of an organisation in which functional and divisional forms over lap. Explain this statement by outlining the pluses and minuses of the matrix organisation structure.

CHAPTER 6.0

THE ORGANISATION IN THE MODERN ENVIRONMENT

Learning objectives

At the end of the module, the student shall be able to do the following:

- Explain the importance of strategic planning,
- Understand the mission statements, goals and objectives of the organisation,
- Explain the nature of, and functions served by organisational goals;
- Explain the need for objectives and their importance to the business organisation;
- Understand the concept and importance of strategy to an organisation.

The activities of a work organisation and the management of people are directed towards a variety of goals which may not be mutually exclusive and which may conflict with each other. Goals are translated into strategy in order to provide corporate guidelines for the structure and operations of the organisation.

Element 6.1 Mission, Goals and Objectives of the Organisation Mission

Mission Definition

A mission of the organisation defines the business the organisation is engaged in. It is a general expression of the overall purpose of the organisation, which ideally is in line with the values and expectations of major stakeholders. It defines the purpose of the organisation, it questions, what business or businesses we are in?

When you define the mission, you invariably identify the scope of the products or services. There is a need to be very clear what business the organisation is involved in. The death of many organisations most times is caused by the failure of the manager to clearly define the mission.

A vision is sometimes confused with mission statement. A vision sets out the purpose and general direction for the organisation. It projects the desired future state of the organisation and an aspiration around which to focus attention and energies of members of the organisation.

Objectives/Goals: for the purpose of this module, goals shall be used interchangeably with objectives. Objectives refer to the desired outcomes for individuals, groups or entire organizations. Objectives create a sense of direction or provide a framework for management decision-making. Objectives create a criterion for all management decisions and the basis upon which actual accomplishments can be measured.

Functions of Goals

Organizational goals serve a number of important functions namely:

i) Goals provide a standard of performance
ii) Goals provide a basis for planning and management control related to the activities of the organisation.
iii) Goals provide guidelines for decision-making and justify actions taken.
iv) Goals influence the structure of the organisation and help determine the nature of technology employed.
v) Goals help to develop commitment of individuals and groups to the activities of the organisation.
vi) Goals give an indication of what the organisation is really like, its true nature and character, both for members and for people outside of the organisation.
vii) Goals serve as a basis for evaluation of change and organisational development; and
viii) Goals are the basis for objectives and policies of the organisation.

Objectives or goals are the starting point for organisational planning. Objectives should be **SMART** thus Specific, Measurable, Achievable, Realistic and have a Time horizon.

ELEMENT 6.2 ENVIRONMENTAL ANALYSIS

Organisations do not operate in a vacuum but are influenced by various forces or environmental factors that drive the change processes in the industry and affect the company. Environmental factors are either, micro or macro, meaning that they may be specific to a company or may generally affect all companies in the industry. Macro environmental factors are beyond the control of the company but they define management's options in strategy formulation. Environmental factors include the following:

iv) **Political and Legal factors,** reflect the practice of good governance practices and laws made in the country. Political factors include general political stability and extent of business friendly laws being made in the country in which an organisation operates and specific attitudes that elected officials are predisposed to such as corruption. Some of the political decisions in Zambia include the nationalisation of the private sector industries by government as part of Mulungushi reforms and secondly the privatisation of the public sector in 1992. The war in Congo Democratic Republic, Angola, Burundi, the Sudan, and Rwanda ranks highly on the geo political risk and has a negative impact on the business development in the region.

v) **Economic factors:** Economic factors include liberalisation policies of government, level and decisions made on interest rates, inflation rates, change in the disposable incomes of people shall affect the management practices in an organisation. They help identify the attractiveness of the industry. This will also include the macroeconomic policies, fiscal and monetary policies of government.

The economic environment dramatically affects the companies' ability to function effectively and influences their strategic choices. Interest and inflation rates affect the availability and cost of capital, the ability to expand, setting of prices, cost structure and consumer demand for products. Unemployment rates affect labour availability and the wages the firm must pay as well as product demand. Economic conditions change overtime and are difficult to predict. Periods of dramatic growth may be followed by a recession. Every trend undoubtedly will end but when? Even when it seems good, budget deficits or other considerations create concern about the future.

iv) **Social/Cultural factors:** Societal trends regarding how people think and behave have major implications for management of the labour force, corporate social actions and strategic decisions about products and markets. These factors reflect the expectations of society, value systems, beliefs, customs and tastes, which change over time. Management therefore must ensure that it adapts its practices accordingly to suit the demands of these factors. These include the products, service offerings as well as the internal policies of organisations. Some of the social and cultural systems include the entry of less than 20 year olds and women in employment, issues of gender equity, HIV and AIDS, etc.

v) **Technology factors:** Today, a company cannot succeed without incorporating into strategy the astonishing technologies that exist and continue to evolve. Technological advances create new products, advanced production techniques and better ways of managing and communicating. In addition, as technology evolves, new industries, markets and competitive niches develop.

New technologies also provide new production techniques. In manufacturing, sophisticated robots perform jobs without suffering fatigue, requiring vacations and weekends off or demanding wage increases. New technologies also provide new ways to manage and communicate. Computerised management information systems (MIS) make information available when needed. Computers monitor productivity and note performance deficiencies.

Technological factors are such that change is the order of the day with innovations in telecommunication, new product development, research and development, etc. These innovations help management to make faster and better decision making capability. Companies that adapt to major technological advances have a competitive edge over those that do not.

vi) **Ecology or Environmental factors:** These include external happenings that affect ecological systems in the industry the organisation operates in such as the impact of production or farming methods on global warming, climatic change and pollution. Organisations shall always undertake an environmental impact assessment before any major developments to assess the potential impact of the development on the environment.

The Micro Environment

In addition to the macro or general environmental factors, there is what is called specific or micro environmental factors that affect the organisations in their operations. These are factors that affect the companies in their businesses and impose uncertainty on organisation's operations. Some of the industry specific factors include the following:

i) **Suppliers:** Suppliers provide resources needed for production and may come in the form of human resource (supplied by trade schools and universities) raw materials (supplied by producers, wholesalers and distributors) information (supplied by researchers and consulting firms) and financial capital (supplied by banks and other sources). But suppliers are important to the organisation for reasons beyond the resources they provide. Suppliers can raise their prices or provide poor quality goods and services. Labour unions can go on strike or demand higher wages. Workers may produce defective work. Powerful suppliers then can reduce an organisation's profits, particularly if the organisation cannot pass on price increases to its customers.

Management seeks to ensure a steady flow of needed inputs at the lowest price possible. The power of suppliers shall be influenced by substitutability of the competing products and switching costs for such buying organisations.

ii) **Customers** justify the existence of an organisation. All organisations exist because they have a service that they provide to someone. Customer tastes change overtime and represent potential uncertainty to the organisation. The power of customers depends on how much they buy, what they buy and the availability of substitutes in the market.

iii) **Competitive environment.** This refers to all the players or organisations in the market attempting to serve similar customers. These may be brand or product competitors. Competition exists in almost every industry even those dominated by monopolies. One example is the competition between Coca cola and Pepsi Cola; National Breweries against Chat Breweries; milling companies such as national milling corporation, Simba Milling, Chimsoro milling, etc. No right thinking management can ignore competition, when they do, they pay dearly.

iv) **Government** influence what organisations can do or cannot do. Governments make laws that may have a tremendous impact on organisations. In Zambia, Parliament enacted investments laws, immigration laws, customs regulations, the Competition and Fair Trading Act, consumer protection laws to protect weak players in the market.

v) Special **interest groups** that attempt to influence the actions of organisations also exist. Zambia Consumer Association, citizens for a clean environment, labour movement and the non-governmental organisations (NGOs) are used to influence organisations and therefore cannot be ignored.

SWOT Analysis

An analysis of an organisation's strengths and weaknesses and its environmental opportunities and threats is necessary as a prelude to the development of a strategy

Strengths are those positive aspects or distinctive attributes or competencies, which provide a significant market advantage or upon which the organisation can build a competitive advantage. An example would be the present market positions of the company, staffing and skills, size, structure, managerial expertise, financial resources, etc.

Weaknesses are internal challenges that the organisation faces, preventing the successful implementation of the strategy. Some the weaknesses the firm may have include a weak financial base, poor production process being used by the company, weak human capital in the company and poor marketing systems. The strategy when developed shall aim to mitigate the impact the weaknesses have the company may have.

Opportunities are general events in the external environment beyond the immediate control of the organisation but do have a bearing on the organisation. The opportunities are those events or trends that have a potential positive effect on the organisation once exploited. Such events or trends may be political, economic, social/cultural, technological, ecological etc.

Threats are forces or trends outside the control of the organisation but have a potential impact of reducing the competitiveness of the company in the market. These are again in the external environment and may include developments in science and technology, which the company is ill prepared to respond to. Threats may include situations where a new product is introduced that immediately makes the company's products obsolete, its distribution network irrelevant, new production methods that make the company's competitors more efficient and effective than the company. The strengths of the company combined with the opportunities may be used to neutralise the impact of the threats in the environment.

ELEMENT 6.3 STRATEGIES

The objectives are formalised within the framework of a corporate strategy, which serves to describe an organisation's sense of purpose, plans and actions for its implementation. Strategy is a pattern of actions and resource allocations designed to achieve the goals of the organisation.

The strategy of an organisation should always attempt to match the skills and resources of the organisation. An explicit strategy for an organisation is necessary, as there is need for people to understand and cooperate in order to achieve the benefits of mutual reinforcement and the effects of the changing environment. The absence of an explicit or stated strategy may result in members of the organisation working at cross-purposes. The intention of top management may not be communicated clearly to those in the lower levels in the hierarchy, who incidentally are expected to implement these intentions.

Levels of Strategy

i) Corporate Strategies

Corporate level strategies are game plans for an organisation with more than one product line. The strategy answers the questions: "how can we compete or win in the market?" in what businesses are we in? Corporate strategy determines the roles that each business in the organisation will play. A corporate level strategy integrates the business level strategies. For instance, the corporate strategy for Barclays Bank and any other bank brings together retail banking, corporate banking, priority banking, merchant banking, etc.

ii) Business strategy

This type of strategy answers the question, how shall we compete in each of our businesses such as retail banking, corporate banking etc? In small organisations with one product line, the business strategy is the same as the corporate strategy. Using the example given above, each of the product lines at Barclays Bank has a developed competitive or business strategy.

iii) Operational or Functional Strategy

Functional or operational strategies attempt to answer the question: how do we support the business level strategy? These strategies are formulated at organisational department levels such as Marketing, Finance, Research and Development etc.

iv) Implementation Strategy

This is basically an implementation plan, which is more tactical than strategic in nature. This strategy attempts to answer the question, who is going to carryout the assignment, by what resources, and by what timeframe. This also requires putting in place administrative systems, policies and plans for monitoring and evaluation of work outputs. This is probably the most important stage in the strategic planning process as it ensures that things happen.

Under the implementation plan, a suitable structure is formulated, activities are budgeted for, and administrative systems for employee motivation, monitoring, evaluation and feedback mechanism are put in place.

Questions

1. Discuss the levels of strategy in an organisation of your own choice and explain the role of SWOT Analysis at every stage.

2. What are the differences among strategic, operational and tactical planning?

3. What is the difference between corporate and business level strategies? How does a functional strategy differ from a business level strategy?

4. Why is it necessary for an organisation to carry out an environmental impact analysis?

5. An organisation without goals is like a ship on the ocean without a campus. In relation to this statement, outline the important functions that organisational goals serve.

CHAPTER 7.0

FUNCTIONAL DEPARTMENTS AND THEIR ROLES

Learning objectives

- To familiarise students with the functions found in most organisations and how they relate with each other for organisational effectiveness.
- To explain the functional relationships between departments in the organisation.

Every formal business shall have a number of functional departments that will enable it fulfil its mission or mandate. The functions shall include the Production, Finance, Marketing operations, Human Resource Management. Larger organisations shall have Research and Development, Information Communication Technology, etc. The functions discussed below may be performed as separate functions or combined or consolidated under the control of one department depending on the size of the company. The characteristics of each of these functions are discussed below.

ELEMENT 7.1 PRODUCTION DEPARTMENT

The production department in an organisation is charged with the responsibility of producing or manufacturing both tangible and/or intangible goods and services. The production department is concerned with reduction of production costs, setting and monitoring of quality standards. Such a department may go by different names be it in the bank or the soap manufacturing company.

The production department is concerned with conversion of the inputs into outputs hence the focus on efficiencies. In small companies, the research and development function is placed under the production department.

ELEMENT 7.2 MARKETING DEPARTMENT

The marketing department is concerned with the interaction with customers or clients in the market. The marketing department carries out the role of market research, market segmentation, new product development, pricing of products, distribution of the product to the convenience of customers, and communicating to the customers on how the organisation can provide solutions to customers.

A very good product without marketing it to the target customers has no value to the company and customers. The marketing department provides the interface between the company and the customers.

ELEMENT 7.3 FINANCE DEPARTMENT

The finance department is the custodian of financial resources of the organisation. The department develops financial management systems, annual budgets, financial controls and reports on the overall performance of the organisation. It prepares financial statements for internal and external reporting purposes.

The finance department records the performance of the production and marketing departments. It gives reports on the costs of operations in marketing and production and compares the performance against budget. It shows the statement of assets and liabilities for the company.

ELEMENT 7.4 HUMAN RESOURCE DEPARTMENT

The human resources department is charged with the responsibility of managing the human capital of the organisation. It is through this department that can make employees more productive. It is charged with the responsibility of human resource planning, recruitment and selection of staff, job design, work performance management, industrial relations, training and development. It is primarily concerned with the resourcing of all other departments of the organisation to organisational effectiveness. Whenever, employees are underemployed or there is a shortage of staff, other departments make labour requisitions to the human resources department for resourcing.

ELEMENT 7.5 ADMINISTRATIVE SERVICES

The department may be combined with either the finance or human resource departments. The administrative services provide administrative support to the whole organisation. It primarily carries out organisation and management (O&M) functions such as secretarial services, records management, cleaning services, clerical services, etc. The Administrative services also deal with office layout at both head office and branches.

ELEMENT 7.6 OTHER FUNCTIONAL DEPARTMENTS

The above departments of many organisations help the student appreciate the departmentation of companies according to their specialised areas. The departments also help understand the relationship between departments and the need for the various specialisations to work together to achieve the organisational objectives.

When the organisation is large, it may have more departments than what has been tabulated above. A large company may have a manufacturing department, corporate affairs department, procurement and supplies department, etc, whereas, an organisation which is small or informal may have few or no formalised departments. Where there are no formalised departments, all employees may report to the Chief Executive Officer and he/she makes all decisions.

Questions

1 Identify and explain the roles of a typical department in an organisation in Zambia.

CHAPTER 8.0

THE HUMAN RESOURCES MANAGEMENT FUNCTION

The human resources management function is regarded as the most important in any organisation because of its centrality in the achievement of the mission and objectives of the organisation. The features of the human resource management function that makes it important include the following:

- ✓ Focuses on the strategic management of people which achieves a fit or integration between the business and the human resource strategy;
- ✓ Is a comprehensive and coherent approach to the provision of mutually supporting employment policies and practices;
- ✓ The importance placed on gaining commitment to the organisation's mission and values thus commitment oriented.
- ✓ The treatment of people as assets rather than costs, people are regarded as a source of competitive advantage and a human capital to be invested in through the provision of training and development opportunities;
- ✓ An approach to employee relations that is unitarist rather than pluralist, i.e. it is believed that employees share the same interests as employers;
- ✓ The performance and delivery of HRM as a line management responsibility

ELEMENT 8.1 THE POSITION OF HUMAN RESOURCE MANAGEMENT FUNCTION IN THE ORGANISATION

The Human Resource (HR) function is the unifying and integrative function in an organisation as it tends to focus on the administrative activities that ensure that what is planned is implemented in line with the business strategy. HR specializes in matters connected with the management and development of people in organizations. The HR function is concerned with organizational design and development, human resource planning, recruitment and selection, development and training, employee reward, employee relations, knowledge management, healthy and safety, HR administration, fulfilment of statutory requirements, equal opportunity issues and other issues related to enhancement of employment relationships.

The overall role of the HR function is to enable the organisation to achieve its objectives by taking initiatives and providing guidance and support on all matters relating to its employees. The HR function ensures that management deals effectively with every thing concerning the employment and development of people and the relationship that exist between management and workforce.

ELEMENT 8.2 KEY CONCEPTS IN HUMAN RESOURCES MANAGEMENT SELECTION PROCESS

The analysis of jobs and roles, which includes skills and competency analysis, is one of the most important techniques in HR management. It is important because it seeks to provide the input data for the formulation of job descriptions, role profiles and personal and learning/training specifications. It is of great importance in organisations and job development or design, recruitment and selection, performance management, training, management development, career management, job evaluation and the design of pay structures. In this manual, focus shall be on job analysis, job description and job specifications.

i) **Job Analysis**
The essence of a job analysis is to apply a systematic method of collecting information about jobs. The interview method is the most popular method of collecting input data for job evaluation.

Definitions of concepts

Job analysis is the process of collecting, analysis and setting out information about the content of jobs in order to provide a basis for a job description and data for recruitment, training and job evaluation and performance management. If focuses on what jobholders are expected to, thus the process by which a job description is derived indicating the total requirement of the job, which leads to person specifications.

Role analysis is concerned with what people do but goes further to focus on the expected behaviour of role holders in achieving the overall purpose of the role as well as work content. Competency analysis is a component of job analysis but concerned with establishing what is required of someone carrying out a role in terms of behavioural competencies (soft skills, or behaviour expectation) and the technical or functional competencies (hard skills).

Job description tells you about the total requirements of the job, exactly what it is, its purpose, duties, activities and responsibilities and the position within the formal structure. Alternatively, the job description sets out the purpose of the job, where it fits in the organizational structure, context in which, the holder functions and the principle accountabilities of jobholders or the main tasks they have to carry out.

Personnel or Job Specifications sets out the education, qualifications, training, experience, personal attributes and competencies a jobholder requires to hold in order to perform her/his job satisfactorily.

In recruitment of employees, there should be a match between the jobholder and the job requirements as provided for in the job description.

ELEMENT 8.3 RECRUITMENT AND SELECTION PRACTICES

Whatever the nature of the organisation, the effectiveness of its operations and functions inevitably depends very largely upon the staff it employs. Every manager should recognize the importance of planned and systematic approach to resourcing the organisation and to the recruitment, selection and induction of staff.

ELEMENT 8.3.1RECRUITMENT PROCESS

i) **Internal and/or external recruitment**

Recruitment is defined as a process of locating, identifying and attracting capable applications for jobs in the organisation. The sources of recruitment include internal staff where an internal search is carried out for suitable candidates for resourcing the organisation. Attracting external candidates could be through the use of media advertising, employee referrals, public and private employment agencies, school placements and/or temporary help services.

ii) **Selection criteria**

The selection process includes the criteria to be used in the screening of job applicants to ensure that the most appropriate candidates are hired. When the human resources department identifies personnel shortage and develops a pool of applicants, it needs to develop a method for screening the applicants to ensure that the most suitable applicants are awarded the job.

A selection process is a prediction exercise aimed at identifying candidates most likely to perform well in the organisation. It is important to use a method that has both the validity properties and reliability parameters. Validity is the proven relationship that exists between a selection device and some relevant criterion. The reliability test of the selection process is the ability of a selection device to measure the same thing consistently.

Selection devices/criteria that most managers use include the application forms, written tests and performance simulation tests.

a) Application forms

Many organizations require candidates to fill in application forms. The application form requires an applicant or prospect to provide information about the name, address and telephone numbers, personal history profile, detailing the applicant's activities, skills and accomplishments. The device has successfully been used as a predictor of success when weighed closely with job related parameters.

b) Written Tests

Great care should be taken when administering a test or questionnaires and in the interpretation of results. Written tests are used to measure the candidate's intelligence, achievement and developed abilities and aptitude for a particular job. Written tests are generally used for screening candidates. Written tests are not very common in job related interviews for senior management positions. It may be useful when selecting many school leavers applying for the job. The highly educated and competent individuals tend to resent written interviews as a basis of selection. They regard it as a way of questioning or doubting their intellect. Most tests suffer from the validity and lack of statistically proven reliability.

Despite the criticism of written tests, more organizations continue to use psychometric test (to measure characteristics such as personality and ability) as part of their recruitment and selection procedure. When such tests are used, they should not be used in isolation but as part of a comprehensive selection process and applied in appropriate circumstances to supplement interviews but not a substitute.

b) Performance Simulation tests

This is where a real life situation is presented to the candidate and he/she is asked to provide a solution to the problem. The simulation is based on job analysis data and should more easily meet the requirements of the job relatedness than written tests. Some of the commonly known simulation tests are the work sampling and assessment centres. Work sampling is a personnel selection device in which job applicants are presented with a miniature replica of a job and are asked to perform tasks central to that job. Applicants have an opportunity to demonstrate that they possess the necessary skills and talents by actually doing the tasks. The results from such work sampling have shown good results in meeting the validity test with more superiority than those of the written aptitude, personality or intelligence tests. The job sampling technique is more suitable for routine jobs.

Assessment centres are more elaborate set of performance simulation tests specifically designed to evaluate a candidate's managerial potential. It is the line executives, trained psychologists and supervisors who evaluate the candidates as they go through two or four days of exercises that simulate real problems they would confront on the job. An Assessment Centre device is suitable for the recruitment and assessment of the potential of the managerial cadre.

iii) Short listing

All the previous selection processes are aimed at reducing the risk of employing a wrong person for the job to the associated cost. Through the use of various selection tools, the applicants who meet the requirements for the job are short listed for further consideration. In the short-listing, usually the Human Resources department facilitates the short-listing of candidates to prepare them for an interview. It is standard practice that all those who however a growing trend that only the short-listed candidates would be informed about the outcome of the applications due to large number of applicants.

ELEMENT 8.3.2 INTERVIEWING METHOD

The purpose of an interview is to develop interactive encounter with a job applicant to validate some information collected through the use of application forms. The other purposes of interviewing are:

i) To collect information in order to predict how successfully the individual would perform in the job for which they have applied, by measuring them against predetermined criteria.
ii) To provide the candidate with full details of the job and organisation to facilitate their decision making; and
iii) To conduct the interview in such a manner that candidates feel that they have given a fair hearing.

Interviewing has received severe criticism on its validity and reliability criteria. Despite such criticism interviewing still remain the central and indispensable element of the selection process. In order to get a fair assessment of the candidates, it would be appropriate to determine in advance the type of information needed and the best way to collect this from the interview.

Many companies still have difficulties in developing a systematic method of preparing to interview a job candidate. Some organizations have attempted to develop an interview plan or checklist. The important thing is that a suitable plan is used and the plan is appropriate to the essential and desirable characteristics of the candidates. Interviews should avoid the impression of just going through a list. In interviews, candidates should be encouraged to do more of the talking and asked questions that will encourage them to describe their experiences and develop ideas.

An interviewing panel is usually constituted to interview the candidates.In interviewing, there are some kinds of potential biases that may creep in if not well managed. Some of the biases would include the following:

i) Prior knowledge of the applicant will bias the interviewer's evaluation
ii) The interviewer tends to hold a stereotype of what represents a good applicant.
iii) The interviewer tends to favour applicants who share his or her own attitude.
iv) The order of interviewing applicants may influence the evaluators
v) Negative information is given unusually too much weight.
vi) The interviewer gets the impression of the candidate's suitability within the first for to five minutes of the interview

vii) The interviewer may forget much of what is within minutes after its conclusion.

Despite these concerns, interviewing has continued to be popular and managers are looking at ways to improve the validity and reliability of the interview. Some of the suggested solutions to make interviews reliable include:

(i) Structure a fixed set of questions for all applicants
(ii) Having detailed information about the job interviewed for,

(iii) Minimising any foreknowledge of applicants' background, experience, interests, test scores and other characteristics.

(iv) Asking behavioural questions that require applicant to give detailed accounts of actual job behaviours.
(v) Using a standardized evaluation form,
(vi) Taking notes during the interview, and
(vii) Avoiding short interviews that encourage premature decision-making.

ii) **Interviewing panel external or internal**

A panel is usually formed to interview candidates for a job. Where a panel is used a interview plan is used to serve as a basis of division of questioning among selectors. It helps allocate the areas to be covered by an interviewer and the roles to be played in the interview process.

A panel interview is advantageous in that the candidates can be seen at the same time by a number of people who have an interest in the appointment. It enables all aspects of the candidate's application to be considered. Selection will be based on both technical competence and the broader organisation context.

The identified weakness is that it tends to be a formal affair and is rather intimidating to the candidate.

ELEMENT 8.5.3: COST OF RECRUITMENT AND SELECTION PROCESS

i) Cost of high turnover

Usually the cost of recruitment and selection is not considered and hardly is it b
budgeted for. Yet the cost is a major consideration in any selection process. Selection failure is also a major factor either by appointment or an unsuitable member of staff or by the rejection of a candidate who would have made a successful member of staff. The financial costs of putting up an effective selection are immediately apparent and usually clearly identified for example selectors' time, administrative expense. The contributions from an efficient and effective selection process and the benefits derived by the organisation are not readily apparent and less easy to quantity.

In the long term, the cost of improving the selection process must be more than justified in improving the effectiveness of the organisation. Mistakes in selection are very expensive not only on the possible effects on staff morale and performance. There may also be the cost of going through the selection process again. The costs include advertising costs, interviewee refunds, interviewer allowance where a recruitment agency is used. To keep mistakes to a minimum, there is need for a carefully planned and systematic approach to the recruitment and selection process.

ii) **Evaluation of effectiveness of the recruitment and selection process**

The effectiveness of the recruitment and selection process may be seen in the long term organizational effectiveness and specific contribution of an officer. When recruiting we make a projection that the person will perform. After the person has taken up the appointment, there is need to assess how he/she perform on the job. Turnover of such staff in the organisation will be a pointer to the effectiveness of the recruitment and selection process. Evaluating the effectiveness of the recruitment and selection process may be done by conducting a review by the collection of information from feedback of candidates, staff attitude surveys, performance appraisal schemes and exit interviews.

ELEMENT 8.4 TRAINING AND DEVELOPMENT PROGRAMMES

Training and development are an important part of the human resources function. Competent employees do not remain competent forever. Some skills may deteriorate to a point of being obsolete. Training and development is one of the major areas of the human resource management function concerned with the effective management and use of people. People are probably the most important resource to any organisation, as it is responsible for the transformation of raw materials to finished goods and services demanded by the customers of the company. People may be an expensive resource but crucial for the survival of the organisation.

The importance of training as a central role of management has long been recognized by leading scholars of management. According to Prof. Peter Drucker, one contribution a manager is uniquely expected to make is to give others a vision and ability to perform. The key function of a manager is to develop people and to direct, encourage and train subordinates. Training remains an important source of staff that is technically and socially competent and capable of career development into specialist departments or management positions.

There is a general movement towards empowerment and delegation of authority and responsibility to lower levels in the organisation. The effective delegation and empowerment programme depends largely on how well skilled staff are trained. Devolution of power to the workforce gives increasing emphasis to an environment of coaching and support. Training is necessary to ensure a stead flow of staff who are technically and socially competent individuals. There is therefore a need for a continuous process of staff development and training in order to fulfill an important part of this process. Training should be viewed as an integral part of the process of total quality management.

ELEMENT 8.5: TYPES OF TRAINING

Many modern organizations spend millions of kwacha training staff so that they remain modern and relevant to any possible changes in the operating environment. Skills obtained from training institutions deteriorate and can become obsolete over time. The emphasis is not just on training but retraining as well. Training can include any form of teaching from basic reading skills to advanced courses in executive leadership.There are basically four general skills training categories of – basic literacy, technical, interpersonal and problem solving skills.

i) **Basic literally skills**

This is common type of training that takes place in Zambia. There are however companies that may spend millions of kwacha teaching employees basic reading and maths skills for their employees. In the tourism business this kind of training is still very popular in that lodges are constructed in rural and remote areas where human labour may be the rural communities who may be academically challenged. There are similar people in many organizations where employees still require support to develop their basic literacy skills.

ii) **Technical skills**

Most training that takes place in organizations is directed at strengthening the employee's training and development. Technical training has become an increasingly important body today for two reasons. Firstly, an organisation is experiencing the continuous change such as introduction of new technology, which has revolutionised the work place. Jobs change as a result of new technology leading to improvements in work methods such as computer monitored engines, use of robotics in manufacturing processes. Where we used to employ many employees in the production plant, we now require less than ten workers. In addition, the employees who remain will require learning a set of new skills on how the computer controlled engines work (technical skills). Secondly, the change in the way the organisation is designed requires technical training. When the organisation flattens its structure, introduces the use of teams, breaks down traditional departmental barriers, employees shall require to learn a wider variety of tasks or skills.

iii) **Interpersonal skills**

There are very few employees who work alone. Employees may be in a section, department or directorate within a company and their work performance depends on their ability to interact with other co-workers and their supervisors to get things done. Some employees have excellent interpersonal skills but others need training to improve their interpersonal skills. Good interpersonal skills demands that one learns to be a good listener, illustrate how to communicate ideas clearly and how to be a more effective team player.

iv) **Problem-Solving skills**

One of the key functions of managers who do not perform non-routine activities is problem solving. Problem solving training is necessary for managers who may be deficient. Problem solving training involves activities aimed at sharpening their logic, reasoning and problem defining skills as well as abilities to assess causation develop alternatives, analyse the alternatives and select solutions.

ELEMENT 8.5.1: TRAINING METHODS

Training methods may be readily classified s formal or informal and on-the-job training. Whenever one refers to training, the traditional interpretation is to be formal training.

i) **Formal training**

Formal training is planned in advance and has a structured format. In most organizations, there is a new wave of interest in formal training. Formal training involves taking people to training institutions like colleges, universities.

ii) **Informal training**

Informal training is an unstructured, unplanned and easily adapted to situations and individuals for teaching skills and keeping employees abreast of current affairs.

iii) **On-the-job training**

On-the-job-training includes job rotation, apprenticeships, understudy assignments and formal mentoring programmes. On-the-job-training generally disrupt the workplace. Other forms may take the form of off-the job training, such as short-term classroom lectures, public workshops and seminars. Other forms take satellite-beamed television class, role-play, videotapes etc. The most common among the informal methods is the classroom method.

iv) **Induction**

Inductions are forms of training provided to new employees to enable them carry out their functions in a new setting. This training is meant to familiarize the employees with the business of the organisation they work for. Effective induction and orientation is a continuous process covering the few months at work but it can be viewed as an extension of the recruitment and selection procedure. Induction shall attend to rules and regulations, familiarization with the culture and methods of operations of the organisation and personal training and development. A warm welcome, initial introductions and properly planned designed induction programme will do much to reassure a new member of staff and aid their motivation and attitudes to their work performance.

v) **Coaching**

Coaching is one of the new methods used in management development along with mentoring. Coaching is ensuring that the new member of staff is being helped to develop and grow in the organisation. The person who coaches employees may be referred to being a mentor. Mentoring and coaching are increasing trends towards helping the individual take charge of his/her learning. The primary driver of the acquisition of knowledge and skills becomes the employer, the coach or mentor available to give guidance, insight and encouragement in the learning process.

Coaching teaches us to monitor our progress and change direction when necessary. As we reach milestone on the way, we need to celebrate our successes. Coaching is action oriented, continuous and deliberate.

Definition

Coaching is a process that uses deductive or drawing-out techniques to increase an individual's ability and willingness in a specific subject or problem area. The technique is used in a structured manner. The coach does not need to be an expert in the subject.

Characteristic of Coaching

a. Uses deductive techniques (drawing of conclusions from the point of view of coachee).
b. The coach does not have to be expert in the subject matter
c. The prime beneficiary is the individual but the organisation also benefits;
d. A coaching session is measured in minutes
e. Can be an off the cuff session
f. Usually informal but can be formal
g. Respect for the coach is usual; and
h. Rapport between the coach and the new employee is essential.

iv) **Mentoring**

Mentoring require a number of skills, which include the role of the coach. A mentor plays the role of a counsellor, net worker, facilitator and a coach.

Definition

Mentoring is a process that uses a mixture of inductive (pushing it in or telling) and deductive drawing – out or coaching) techniques to increase an individual's ability or willingness in specific subject. A structured programme is usually used. The mentor should be an expert in the subject matter.

Characteristics of Mentoring

a. Uses a mixture of deductive and inductive techniques
b. The mentor must be an expert in the subject
c. The prime beneficiary is the organisation but the individual benefits as well;
d. A mentoring programme is measured in months.
e. The mentor must be available almost on demand but at least on regular basis
f. More formal but can include informality

g. Respect for the mentor’s knowledge of the subject is essential; and
h. Rapport between mentor and new employee is essential.

ELEMENT 8.6 PERFORMANCE EVALUATION

The objectives of performance evaluation are as follows:

a) To develop an understanding of performance evaluation as the key component of organizational effectiveness;
b) To familiarize students the differentiation of staff in organizations;
c) Expose to students the various methods used in performance management; and
d) Have an understanding of the rationale for performance evaluation.

ELEMENT 8.6.1 PURPOSE OF PERFORMANCE EVALUATION

The history of human development has always been going side by side with evaluation of performance in one form or another. In the school curriculum for instance on per semester basis, there are tests held, at the end of grade nine and twelve, there are examinations held for pupils to progress from one grade to another and those who fail, never progress.

Even in examination results, there are grades A to F for the most outstanding and those who fail. The various levels of performance require us to deal with such pupils differently. In the Maasai community in East Africa, for one to be called a man, he should have killed a lion single-handedly. In short, any appraisal of performance will invariably lead to differentiation. The performance evaluation system chosen will have a direct influence in the behaviour of employees like pupils, the evaluation system through tests used, will influence their behaviour in class.

The purpose of performance evaluation varies from one organisation to another. Generally, it is seen as a mechanism for providing feed back and determinant of reward allocation. Management uses performance evaluation or appraisal for general human resource management decisions.

i) Performance evaluations are important inputs in decisions of promotion, transfer and termination.
ii) Evaluations identify training and evaluation needs. They help pinpoint employee skills and competences, which are currently deficient for staff development, can
be used to remedy the situation.
iii) Performance evaluation is used as criteria against which selection and development programmes are validated. Newly hired employees who perform poorly can be identified through performance evaluation.
iv) Performance evaluation also provides a feedback to employees on how the organisation views their performance.
v) Performance evaluations are also used as a basis for reward allocations. Thus who gets a merit increase or who gets a bonus for work output.

ELEMENT 8.6.2: PERFORMANCE EVALUATION AND MOTIVATION

The expectancy model of motivation gives an excellent explanation of what influences the amount of effort an individual will exert towards his or her job. There is always debate as to the linkages between effort-performance and performance reward. Performance may be defined as a result of performance evaluation. To maximise motivation, people need to believe or perceive that the more effort they exert the more it leads to favourable performance evaluation leading finally to high rewards. When the objectives of employees to be achieved are unclear, the criteria for measuring those objectives are vague, and if the employees lack confidence that their effort will lead to satisfactory appraisal of their performance, or believe that there will be unsatisfactory pay-off by the organisation which their performance objectives are achieved, we expect individuals to work considerably below their potential.

ELEMENT 8.6.3: WHAT IS EVALUATED?

The criteria or criterion used for performance evaluation shall have a major influence on what employees do. There are three classes or parameters used to evaluate performance namely individual task outcomes, behaviour and traits.

i) Individual Task Outcome

Where there is empowerment of employees to make decisions affecting their jobs, the end counts more than the means, then management shall evaluate the employee's task outcomes. Performance may for instance be evaluated on the quantity of output; scrap generated; cost per unit; number of school leavers with merit and distinction grades; sales volume achieved; and /or number of accounts established.

ii) Behaviour

Many times, it is difficult to identify specific outcomes that can be directly attributable to an employee's actions. This is more pronounced for employees in staff (advisory) positions and those who work in teams. While group effort can readily be evaluated, the contribution of individual team members may be difficult to measure. The evaluation of behaviour becomes a natural way of assessing an employee such as promptness in submitting reports or the leadership style the manager exhibits.

iii) Traits

Use of traits is the weakest set of criteria, yet still widely used by many organizations. They are weaker than individual task outcomes and behaviour because they are furthest removed from the actual performance of the job itself. Traits such as good attitude, showing confidence, being dependable, looking busy or possessing a wealth of experience may not be correlated with positive task outcomes. Traits remain very popular for assessing an employee's performance.

ELEMENT 8.6.4: WHO SHOULD DO THE EVALUATION?

The obvious answer to the question is the supervisor off course. Subordinate performance appraisal is seen as a manager's natural responsibility and authority.

This is largely because the supervisor is held accountable for the subordinate's work performance.

i) **Immediate supervisor**

Performance appraisal and evaluation for lower and middle management levels of the organisation are conducted by the employee's immediate supervisor. This has been found to have some drawbacks where people work in teams. Some bosses believe that they are not qualified to evaluate their subordinates. Generally many supervisors are very reluctant to evaluate the performance of the subordinates for emotional reasons.

ii) **Peers**

Performance evaluation undertaken by peers may be one of the most reliable sources of appraisal data. The reasons are that (a) the daily interaction provides them with a comprehensive view of the employee's performance, (b) using peers as raters results in a number of independent judgements. The immediate supervisor's evaluations will only be a single view but peers can provide a multiplicity of appraisals.

iii) **Immediate Subordinates**

Where the company believes or where its core values are honesty, openness and employee empowerment, it encourages the evaluation of the supervisor by subordinates. Subordinate evaluation of their supervisor may provide accurate and detailed information about the manager's behaviour due to frequent contacts. The major weakness is the fear of reprisals from bosses given the unfavourable responses. Respondent anonymity is crucial if these evaluations are to be accurate.

iv) **Self-Evaluation**

This is where employees evaluate their own performance consistent with the values of such self-management and empowerment. Self-evaluation gets high marks from employees themselves because they tend to lessen employee's defensiveness about the appraisal process; and make excellent vehicles for stimulating job performance discussions between employees and their superiors.

The drawback of this approach is that of inflated assessments and self-serving bias. Self-evaluation is low in agreement with the superiors. Self-evaluation are probably better suitable for development work and not for performance evaluation purpose.

v) **Performance evaluation of teams**

Performance evaluation carried out by a variety of participants (teams) is also called 360° degrees evaluation. This provides for performance feedback from the full circle of contacts that employees might have, ranging from mail room personnel to customers and that from employees to bosses to peers. The number of appraisals is minimal, at about three to four per year. The 360° evaluation fits well into organizations that have introduced teams, employee involvement, and the TQM programmes.

Questions

1. Briefly explain the human resource management function in organisations and discuss the key concepts in staff selection process.

2. Performance evaluation is important to modern organisations. In your view what should be evaluated and who should evaluate performance?

3. Getting the right candidate for a job is always a challenge for managers and any mistake is recruiting the wrong candidate, it turns out to be very expensive to the company. Give an account of the steps you may use in recruiting the correct candidate.

4. Coaching and Mentoring are two techniques that have helped both new employees and organisations to copy with the challenges of organisational life. Explain the features and benefits of coaching and mentoring.

5. Performance evaluation is a key requirement in effective organisations. Explain your understanding of performance management and how it could best be carried out in organisations.

CHAPTER 9.0
STYLES OF LEADERSHIP AND MANAGEMENT

Learning Objectives

- To explain the meaning and importance of leadership in work organisations;
- To examine leadership as an aspect of behaviour and different styles of leadership;
- To provide an understanding of the nature of managerial leadership and the exercise of power and leadership;
- To evaluate the nature and components of various types of leadership styles.

ELEMENT 9.1 THE MEANING OF LEADERSHIP

An essential aspect of management is coordinating the activities of people and guiding their efforts towards the goals and objectives of the organisation. This involves the process of leadership and the choice of an appropriate form of action and behaviour.

Leadership may be defined simply as getting others to follow or getting people to do things willingly or the use of authority in decision-making. It is related to motivation, interpersonal behaviour and the process of communication. It may also be referred to as a relationship through which one person influences the behaviour or actions of other people.

ELEMENT 9.2 LEADERSHIP THEORIES

i) Trait Theories

Trait theory is based on the assumption that good leaders are born leaders with a list of characteristics that differentiate leaders from non-leaders. Some of the characteristics or qualities of leaders include intelligence, charisma, decisiveness, enthusiasm, strength, bravery, integrity and self-confidence. The search for leadership traits preoccupied early scholars.

Individuals who have been acknowledged as world leaders include Nelson Mandela, Margaret Thatcher, Martin Luther King, Bill Gates, Ted Turner, Kenneth Kaunda, Bill Clinton, Fred Mmembe Managing Director of the Post Newspaper, Great King Shaka of the Zulus, etc These individuals possess some of these qualities but probably not all the qualities.

After many studies, six traits have been consistently identified to be associated with leadership namely; drive the desire to lead, honesty and integrity, self-confidence, intelligence and relevant knowledge of the job.

Traits alone are not sufficient for explaining leadership as other situational factors are ignored. Despite traits that leaders may possess, such leaders still need to make correct decisions as a right decision in one situation will be different from the other.

ii) Behavioural Theories

Behavioural theories attempt to identify behaviours that differentiate effective from ineffective leaders. One key question is; do leaders tend to be more democratic than autocratic? Under this theory, once behaviour for good leaders is found, people can be trained to be leaders.

Ohio State Studies and the Michigan University, which led to the development of what is called the managerial grid, have carried out a number of studies.

The **Ohio State Studies** focused on two dimensions namely initiating structure and consideration. The initiating structure is the extent to which a leader defines and structures his or her role and those of subordinates to attain goals. The dimension of consideration is the extent to which a person has job relationships characterised by mutual trust, respect for subordinate's ideas and regard for their feelings.

A leader who is high on initiating structure and consideration (thus the high-high leader achieved high subordinates performance and satisfaction more frequently than one who rated low on either considerations or initiating structure or both.

The **University of Michigan Studies** main objective was to locate behavioural characteristics of leaders that were related to performance effectiveness. Two dimensions of leadership behaviour were labelled employee oriented and production oriented. Employee oriented leaders were described as emphasising interpersonal relationship; they took a personal interest in the needs of their subordinates and accepted individual differences among members.

Managerial Grid

Blake and Mouton based the managerial grid on a two-dimensional view of leadership style as developed. It is based on "concern for people" and "concern for production"

C	**9**	**X**								**X**
O	**8**									
N	**7**									
C	**6**									
E	**5**					**X**				
R	**4**									
N	**3**									
	2									
For	**1**	**X**								
People		**1**	**2**	**3**	**4**	**5**	**6**	**7**	**8**	**9**

C O N C E R N F O R P R O D U C T I O N

Using this matrix, Blake and Mouton identified five key positions on the managerial grid are as follows:

Grid 1,1 **Impoverished:** this is where the leader exerts a minimum effort to accomplish the work;

Grid 9,1 **Task.** The leader concentrates on task efficiency but shows little concern for the development and morale of subordinates;

Grid 1,9 **Country Club.** The leader focuses on being supportive and considerate of subordinates to the exclusion of concern for task efficiency;

Grid 5,5 **Middle of the road.** The leader maintains adequate task efficiency and satisfactory morale;

Grid 9,9 **Team.** The leader facilitates task efficiency and high morale for coordinating and integrating work-related activities.

Following the studies, Blake and Mouton concluded that managers perform best when using Grid 9,9 style. The approach did not answer the question of what makes a good leader but merely a framework concept for leadership style.

iii) Contingency theories

In the study of leadership, it became very clear that predicting leadership success involved something more complex than isolating a few traits or preferable behaviours. The failure to obtain consistent results led to a new focus on situational influences. The relationship between leadership style and effectiveness suggested that under condition *a*, style *x* would be appropriate, whereas style *y*, would be more suitable for condition *b*, and style *z* for condition c.

Various studies in contingency theory were undertaken. The foremost proponent of the theory was Fred Fiedler. The Fiedler Contingency model assumed that effective groups depend on a proper match between a leader's style of interacting with subordinates and the degree to which the situation gives control and influence to the leader. Fiedler developed the **least--preferred co-worker (LPC) questionnaire**, which purports to measure whether a person is task or relationship oriented. He isolated three situational criteria namely leader-member relations, task structure and position power. He believed that these criteria could be manipulated to create the proper match with the behavioural orientation of the leader.

***Leader-member relations**: The degree of confidence, trust and respect subordinates have in their leader.*
***Task Structure:** The degree to which the job assignments are procedurised or structured or unstructured.*
***Position Power:** The degree of influence a leader has over power variables such as hiring, .firing, discipline, promotions and salary increases.*

iv) Charismatic Leadership Theories

Charismatic leadership theory is an extension of the attribution theory which proposes that leadership is merely an attribution that people make about other individuals. Studies in charismatic leadership have been directed at identifying those behaviours that differentiate charismatic leaders from their non-charismatic counterparts. Robert House has identified three personal characteristics of charismatic leaders namely extremely high confidence, dominance, and strong convictions in his or her beliefs. Charisma is desirable but people cannot learn to be charismatic leaders.

Some of the key characteristics of charismatic leaders:

i. Self confidence in their judgement and ability
ii. Vision thus an idealised goal that proposes a future better that the status quo.
iii. Ability to articulate the vision thus ability to clarify and state the vision in terms that are understandable to others.
iv. Strong convictions about the vision thus strongly committed and willing to take on high personal risk, incur high costs and engage in self-sacrifice.
v. Behaviour that is out of the ordinary thus behaviour perceived as novel, unconventional and counter to norms.
vi. Appearance as a change agent rather than caretakers of the status quo.
vii. Environment sensitivity thus able to make a realistic assessment of the environmental constraints and resources needed to bring about change.

ELEMENT 9.3 CONTEMPORARY ISSUES IN LEADERSHIP

h) Emotional Leadership

In recent studies, emotional intelligence (EI) has been found to be a more accurate predictor of who would become a leader more than IQ or expertise. The person's IQ and technical skills are threshold capabilities, which are necessary skills but not sufficient requirements for leadership. It is the possession of the five components of emotional intelligence namely: self--awareness, self- management, self-motivation, empathy and social skills that allow an individual to be a star performer.

Without EI, a person may have outstanding training; a highly analytical mind; a long-term vision and an endless supply of terrific ideas but still not make a great leader. Great leaders demonstrate their EI by exhibiting all five of the key components:

Self-Awareness: Exhibited by self-confidence, realistic self-assessment and a self-deprecating sense of humour.

Self-Management: Exhibited by trustworthiness and integrity, comfort with ambiguity and openness to change.

Self-Motivation: exhibited by a strong drive to achieve, optimism and high Organizational commitment.

Empathy: Exhibited by expertise in building and retaining talent, cross-cultural sensitivity and service to clients and customers.

Social Skills: Exhibited by the ability to lead change efforts persuasiveness and expertise in building and leading teams.

Recent studies suggest that EI is an essential element in leadership effectiveness.

ii) Team Leadership

Leadership is increasingly taking place within a team context. As teams grow in popularity, the role of the leader in guiding team members takes on heightened importance. Team leadership does not come naturally to individuals but could be learnt. The role of team leaders included coaching, facilitating, handling disciplinary problems, reviewing team/individual performance, training and communication. These roles tend to be generic for all leaders. However, team leaders focus on two priorities namely managing the team's external boundary and facilitating the team process. These two priorities are further divided into four specific roles.

a) Team leaders are liaisons with external constituencies thus upper management, other internal teams, customers and suppliers.
b) Team leaders are trouble-shooters as they resolve problems faced by teams. Such problems are not technical in nature as the members have more expertise than their leaders.
c) Team leaders are conflict managers. When conflict arise, team leaders process the conflict by way of knowing what is the source of conflict, who is involved, what are the options?
d) Team leaders are coaches who clarify expectations and roles, teach, offer support, cheerlead and do anything else that would make members improve their work performance.

iii) Moral leadership

Leadership and ethics has received little attention in the study of leadership. The drive is influenced by the growing interest in ethics throughout the field of management. The other reasons could be attributable to the shortcomings of some of the great leaders of our time like Bill Clinton, John F. Kennedy, and Frederick Chiluba. Ethics touch on leadership at a number of junctures. Change managers for instance have fostered moral virtue when they try to change the attitudes and behaviour of followers. Unethical leaders are more likely to use charisma to enhance their power over their followers, directed towards self-serving ends.

Ethical leaders are considered to use their charisma in a socially constructive way to serve others. There is also when leaders abuse their power when they give themselves large salaries and bonuses at the same time, they seek to cut costs by laying-off long-time workers. Leadership effectiveness needs to address the means that a leader uses in trying to achieve goals as well as the content of those goals. Are the changes that the leader seeks for the organisation morally acceptable? Is the leader effective if he/she builds an organisation’s success by selling products that damage the health of its users? Is a military leader successful by winning a war that should not have been fought in the first place like US President George W Bush in Iraq?

Leadership is not value free. Before we judge any leader to be effective, we should consider both the means used by the leader to achieve his/her goals and the moral content of these goals.

ELEMENT 9.4 LEADERSHIP (MANAGEMENT) STYLES

Management styles refer to the extent to which the manager allows a subordinate to participate in decision-making or the extent to which a leader exercises the power and authority at his disposal.

> *Leadership or management style is the way in which the functions of leadership are carried out, the way in which the manager typically behaves towards members of his team*

There are many dimensions to leadership and many possible ways of describing leadership styles such as dictatorial, unitary, bureaucratic, benevolent, charismatic, consultative, participative and abdicatorial. All these may be classified into three general headings

i) **Participatory management**

Participatory management style involves consulting with subordinates and the evaluation of their opinions and suggestions before the manager makes a decision.

ii) **Authoritarian or Autocratic style**

Authoritarian or Autocratic style is where the focus of power is with the manager and all interactions within a group move towards the manager. The manager alone exercises decision-making and authority for determining policy, procedures for achieving the goals, work tasks and relationships, control of rewards or punishments.

iii) **Democratic Style**

Democratic style is where the focus of power is more with the group as a whole and there is greater interaction within a group. The leadership functions are shared with members of the group and the manager is more part of the team. The group members have a greater say in decision-making, determining policy, implementation of systems and procedures.

There are factors or forces that may influence the type of leadership style to adopt. These are forces on the manager, forces on the subordinates and forces on the situation.

a) **Forces in the manager.** The managers' behaviour will be influenced by their:
- Own personalities,
- Backgrounds,
- Knowledge, and
- Experiences.

These forces include value systems, confidence in subordinates, leadership inclinations and feelings of security in an uncertain situation.

b) **Forces in the subordinates**. Forces include personality variables and their individual set of expectations about their relationship with the manager. These forces or characteristics include

- The strength of the needs for independence;
- The readiness to assume responsibility for decision-making;
- The degree of tolerance for ambiguity;
- Interest in the problem and feelings as to its importance;

- Understanding and identification with the goals of the organisations;
- Necessary knowledge and experience to deal with the problem; and
- The extent of learning to expect to share in decision-making.

c) **Forces in the Situation**. The general situation and environmental pressures will have an influence on the manager's behaviour. The characteristics of the situation include:

- Type of organisation;
- Group effectiveness;
- Nature of the problems; and
- Pressure of time.

Effective managers are aware of those forces, which are most relevant to their behaviour at a particular time.

iv) Contingency (Situational) Style

Contingency or situational approach concentrates on the importance of the situation in the study of leadership. Over the years, people of different personalities, varying backgrounds have emerged as effective leaders in different situations. In any situation, a person who demonstrates an understanding of the group dynamics is most suitable to be a leader. The situational approach emphasises the situation as the dominant feature in considering the characteristics of effective leadership.

Despite its popularity, it has weaknesses. Firstly**,** people may have the necessary knowledge and skills and appear to be most suitable leaders in a given situation but do not become effective leaders. Secondly, the style does not fully explain the interpersonal behaviour or the different styles of leadership and their effect on the group. Thirdly, in work organisations it is not usually practicable to allow the situation continually to determine who should act as the leader.

ELEMENT 9.5 MANAGEMENT AND DELEGATION OF AUTHORITY

Delegation of authority and empowerment are management practices at the centre of effective organisations. The manager continuously considers the balance between order and flexibility, and control and autonomy, which brings attention to the importance of delegation and empowerment. Every experienced manager knows the importance of delegation and the consequences of badly managed delegation. Managers should always balance between the two extremes of lack of meaningful delegation and excessive delegation.

i) Definitions of Delegation and Empowerment

> ***Delegation*** *means the conferring of a specified authority by a higher authority. It is the process of entrusting authority and responsibility to others throughout the various levels of the organisation. In essence, it involves a dual responsibility. The one to whom authority is delegated becomes responsible to the superior for the job, but the superior remains accountable for getting the job done. This principle of delegation is at the centre of all processes in formal organisations.*

Empowerment is generally explained in terms of allowing employees greater

freedom, autonomy and self control over their work, and responsibility for decision-making.

ii) Manager - Subordinate Relationship

Delegation creates a special manager-subordinate relation and is founded on the concept of authority, responsibility and accountability (ultimate responsibility).

Authority is the right to take action or make decisions that the manager would otherwise have done. Authority legitimises the exercise of power within the structure and rules of the organisation.

Responsibility involves an obligation by the subordinate to perform certain duties or make decisions and having to accept possible reprimand from the manager for unsatisfactory performance. When one delegates, he/she does not abdicate responsibility.

Accountability is interpreted as meaning the ultimate responsibility and cannot be delegated. Managers have to accept responsibility for the control of their staff, for the performance of all duties allocated to their departments/section within the organisation and for the standard of results achieved.

The manager is responsible to higher management and the manager is accountable to the superior for the actions of subordinates.

iii) Benefits of delegation

Effective delegation should lead to optimum use of human resources and improved organisational performance. Some of the benefits include:

a) **Best use of managerial time,** as time is very valuable but limited. Delegation allows the manager more time on strategic issues of the organisation.

b) **A means of training and development of staff,** testing the subordinates' suitability for promotion. Managers should delegate in order to make themselves dispensable.

c) **Specialist knowledge and skills** are developed and enables specific aspects of management to be brought within the province of a number of specialist staff for greater efficiency. It improves the quality of decision-making.

d) **Geographical location** of departments or operations of the organisation are facilitated by delegation of authority.

e) **Sound economics,** because it benefits both the manager and subordinates and enables them both to play their roles in improving organisational effectiveness. The principle of delegation allows decisions to be made at the lowest levels in the organisation compatible with efficiency.

f) **Strength of the workforce.** It will give subordinates greater scope for action and opportunities to develop their aptitudes and ability and increase their commitment to the goals of the organisation.

iv) Obstacles to Effective Delegation

There are many factors affecting the amount of delegation and its effectiveness. Delegation is affected by the manager's perception of the subordinate staff. It is also affected by the subordinate's perception of the manager's reasons for delegation. Failure to delegate often results from the manager's fear. Eg.

a. The manager may fear that the subordinate is not capable of doing a sufficiently good job
b. The manager may fear being blamed for the subordinate's mistakes.
c. The manager may fear that the subordinate will do too good a job and show the manager in a bad light.

Questions

1. A number of contemporary issues have arisen in the study of leadership. Explain your understanding of the following terms of leadership:
    - Emotional leadership
    - Team leadership
    - Moral leadership
    - Charismatic leadership

2. Delegation of authority is one tool used very well in high performing organisations. Discuss the nature of delegation and why/why not it remains popular.

3. Outline the key characteristics of a charismatic leader.

4. It is always argued that the effectiveness of any team depend on whether the team has an effective leader or not. Considering the importance of having a leader in a team, discuss the roles that a team leader is expected to play.

5. Compare and contrast participatory leadership style and the authoritarian or autocratic leadership style. In what circumstances would you prefer either of them?

6. A number of factors influence the type of leadership style that an individual may adopt. As a management student, identify these factors and explain how they influence the style of leadership.

7. Though delegation of power is necessary, it may not always be applied by a lot of superiors due to a number of reasons. Identify and discuss the factors that act as obstacles to effective delegation.

CHAPTER 10

ORGANISATIONAL CHANGE

Learning Objectives

- To understand the forces that act as stimulants to change;
- To explain the nature of organisational change and explore the reasons for resistance to change; and
- To examine the management of organisational change, and the human and social factors to change.

ELEMENT 10.1 MEANING AND REASONS FOR ORGANISATIONAL CHANGE

Change has a pervasive influence in the organisation. We are all subject to continual change in one form or another. Change may be defined as doing or making things differently.

i) The forces of change

An organisation will only perform effectively through interactions with the broader external forces to which, it is part of. The structure and its operations reflect the nature of the environment in which it is operating. Factors that may make the environment volatile include:

a) Uncertain economic conditions;
b) Globalisation and fierce world competition;
c) The level of government intervention;
d) Political interests;
e) Scarcity of natural resources;
f) Rapid developments in new technology and the information age;
g) Increased demands for quality and high levels of customer service and satisfaction;
h) Greater flexibility in the structure of work organisations and patterns of management;
i) The changing nature and composition of the workforce; and
j) Conflict from within the organisation.

To survive and ensure future success, organisations should be responsive to the challenges that the change agents present. It should be readily adaptable to the demands of the environment. Change is an inescapable part of both social and organisational life.

ii) Types of change

Change may be simultaneous or it may be planned. Simultaneous change is generally unplanned or evolutionary or even revolutionary where the external environment compels the organisation to go into the change mode for instance due to the change in technology, change in the composition of people etc.

In this module we shall focus our attention on planned change, which ideally should be led by top management.

iii) **Managing Planned Change**

Planned change is largely influenced by the need to respond to the new challenges or opportunities in the external environment or anticipated changes in the future that would affect the organisation negatively, if nothing is done. The government position in the privatisation of Zambia National Commercial Bank had an influence on the organisation and other partner institutions.

Every manager needs a clear understanding of how to manage change effectively. Organisational change is managed effectively when:

i. The organisation is moved from its current state to some planned future state that will exist after the change.
ii. The functioning of the organisation in the future state meet people's expectations; that is the change works as planned.
iii. The transition is accomplished without excessive cost to the organisation.
iv. The transition is accomplished without excessive cost to the employees in the organisation.

a) **Objectives**

i) Modifying the behavioural patterns of members of the organisation; and
ii) Improving the ability of the organisation to cope with changes in its environment.

b) **Other issues that may ignite change**

i) A general sense that the organisation could perform better;
ii) The need to improve organisational flexibility, quality or to develop new customer concern;

iii) A sense that skills and abilities of people are under-utilised or concerns about a lack of commitment from employees;
iv) The need to introduce changes in technology or working practices;
v) Workers feeling over-controlled by supervision or the process or jobs seen as being boring;
vi) Concerns about ineffective communications or poor performance indicators;
vii) Fractious relationship between managers and the managed.

c) **Behaviour Modifications**

The process of implementing planned change involves three stages in modification of behaviour as follows:

i) **Unfreezing-** Thus reducing those forces, which maintain behaviour in its present form, recognition of the need for change and the improvement to occur. This may emphasise the weakness of the current system, reducing or lost profitability, loss of market share, hence the need to change.

ii) **Movement** - Introduce the desired change through the development of the new attitudes or behaviours and the implementation of change. This is the stage when top management markets the benefits of change.

iii) **Refreezing** - this is the stabilisation of change at the new level and reinforcement through supporting mechanisms for instance policies, structure or norms.

Stages in Planned Change effort

Stage	**Activities**
Unfreezing	i. Initial problem identification ii. Obtaining data
Movement	i. Problem diagnosis ii. Action planning iii. Implementation iv. Follow-up and stabilisation v. Assessment of consequences
Refreezing	Learning from the process

d) Actions to secure effective change

John Kotter and Dan Cohen have listed eight steps for successful large-scale change.

1) **Create a sense of urgency** among relevant people.
2) **Build a guiding team** with credibility, skill connections, reputations and formal authority to provide change leadership.
3) **Create visions,** which are sensible, clear and uplifting and sets of strategies.
4) **Communicate the vision and strategy** in order to induce understanding and commitment.
5) **Empower action and remove obstacles** that stop people acting on the vision.
6) **Produce short-term wins** that help to provide credibility, resources and momentum to the overall effort.
7) **Do not let up** but maintain the momentum, consolidate early changes and create wave after wave of change. And
8) **Make change stick** by nurturing a new culture and developing group norms of behaviour and shared visions.

ELEMENT 10.2 FACTORS FOR ORGANISATIONAL CHANGE OR CHANGE AGENTS

When trying to introduce change, the change agents have four options to consider, namely organisational structure, technology, physical setting and moving people around. Each of the options is discussed below:

i) Changing structure

Organisational structures are not cast in concrete and may change with changing conditions. Organisational structure may be defined as how tasks are formally divided, grouped and coordinated. It may involve making an alteration in authority relations, coordination mechanisms, job design or similar structural variables. There may be movement to flatter and less bureaucratic structures or more rules and procedures may be implemented. A new structure may be introduced such as a matrix or team based structure or divisional structure.

ii) Changing technology

Changing technology encompasses modifications in the way work is processed and in the methods and equipment used. Under scientific management time and motion studies, there was a great focus on increasingly production efficiency. The modern studies of change influenced by technology usually involve the introduction of new equipment, tools, methods, automation or computerisation.

Competitive forces or innovations within an industry often compel change agents to introduce new technology. In the recent years the computerisation and changes in telecommunications have been the major drivers of change in industry.

iii) Changing physical setting

The layout of workspace should never be a random activity. Work demands, formal interaction requirements and social needs shall have a big influence in space configuration, interior design, equipment placement etc. For instance in accounts departments you do not normally put up wall partitions, in banks, many walls are being dropped and lighting may be manipulated.

This does not normally lead to fundamental change but improves work attitudes.

iv) Changing people

Change the attitudes and behaviours of employees through the process of communication, decision-making and problem solving. Through organisational development a number of interventions can be designed to change people, the nature and quality of work relationships

ELEMENT 10.3 RESISTANCE TO CHANGE

People must be motivated to change. But often they resist change. Many people settle for mediocrity rather than aspire to be of world class status. To successfully implement positive change, it is important to understand why people often resist change.

General reasons for people resistance

Several reasons for resistance to change arise regardless of the actual content of the change.

b. **Timing.** People often resist change because of poor timing. If managers and employees are usually or under stress, or if relations between management and employees are strained the timing is wrong for introducing new proposals. Where possible introduce change when people are receptive.

c. **Inertia**. Usually people do not want to disturb the status quo. The old ways of doing things are comfortable and easy, so people do not want to shake things up and try something new.

d. **Surprise**. One key aspect of timing and receptivity is surprise. If the change is sudden, unexpected or extreme, resistance may be the initial almost reflective reaction.

e. **Peer Pressure.** Sometimes work teams resist new ideas. Even if individual members do not strongly oppose a change suggested by management, the team may band together in opposition. If a group is highly cohesive and has anti-management norms, peer pressure will cause the individuals to resist even reasonable changes.

Change specific reasons for resistance

Other causes of resistance arise from the specific nature of a proposed change. Change specific reasons for resistance stem from what people perceive as the personal consequences of the change.

a. **Self interest.** Most people care less about the organisation's best interest than they do about their own best interests. They will resist change if they think it will cause them to lose something of value.

b. **Misunderstanding.** Even when management proposes a change that will benefit everyone, people may resist because they do not fully understand its purpose.

c. **Different assessments.** Employees receive different and usually less information than what management receive. Even within the top management ranks, some executives know more than others. Such discrepancies cause people to develop different assessments of proposed changes. Some may be aware that the benefits far outweigh the costs, while others may see only the costs and not perceive the advantages.

Resistance to change is a coping strategy adopted by individuals and organisations to change that was not anticipated. Resistance to change is a common place at both organisational and individual levels. Resistance to change takes various forms and most times difficult to pinpoint the reasons for it.

Some of the common reasons for individual resistance to change include the following:

i) **Selective perception.** This is a biased view of change and is subject to an individual person's interpretation of change.

ii) **Habit.** People respond to situations in an established and accustomed manner. Habits may serve as a means of comfort and security and as a guide for easy decision-making. Any attempts at changes to strong habits, such change will be resisted.

iii) **Inconvenience or loss of Freedom.** Should change be perceived to have a potential effect of making life more difficult, reduce freedom of action or result in increased control, there will be resistance to change.

iv) **Economic implications.** When change is perceived to lead to a reduction either directly or indirectly in their pay or other benefits, employees are likely to resist change.

v) **Security in the past.** Many people find a sense of security in the past and when they face difficulties or unfamiliar situations people always look back into the past. Many times people want to retain their old and comfortable ways. Any change which threatens to disturb the old order tends to be resisted.

iii) **Fear of the unknown.** When people fear the proposed change for they do not know the possible implications at a personal level. Many changes to work organisation present a degree of uncertainty for instance, change in structure or technology or method of working raises a lot of un-answered questions.

Many organizations tend to prefer operating in an environment they feel comfortable, thus operating within the structures, policies and procedures meant to deal with present situations. The common modes of organisational resistance to change may take any of the following forms:

i) **Organisational culture** especially a strong culture developed over a long period of time. Any change would not be easy.
ii) **Maintaining stability.** Many organisations resist change for want of continuity with stability and predictability. The mechanistic or bureaucratic an organisation is, the less likelihood that the organisation will be responsive to change.
iii) **Investment in Resources or expertise.** Change tends to require significant amount of resources, which may already be invested in fixed and moveable assets. The more specific the investment in assets is the more difficult for the organisation to invest in the proposed change.
iv) **Past contracts or agreements.** These may limit change in behaviour for instance, companies operating under license, cannot easily change.
v) **Threats to power or influence.** Change may threaten the power base or influence of certain groups within the organisation, such as control over decisions, resources or information.

ELEMENT 10.4 OVERCOMING RESISTANCE TO CHANGE

Most managers underestimate the variety of ways they can influence people during a period of change. Several effective approaches of managing resistance and enlisting cooperation are available. Change agents have used six tactics with varying degrees of success namely:

i) <u>Education and training</u>. Communication with employees to help them understand the rationale of change reduces resistance to change. It is assumed that the source of resistance to change may be due to misinformation.
ii) <u>Participation.</u> When people participate in the change process, they are unlikely to resist their proposed change.
iii) <u>Facilitation and support.</u> A range of supportive efforts to reduce resistance can be made. When employees fear with high anxieties employee counselling and therapy, new skills training or short-term leave can be provided to facilitate adjustment.
iv) <u>Negotiation</u>. Change may be negotiated where change is exchanged for something of value for lessening of resistance especially when resistance comes from a powerful source.
v) <u>Manipulation and Cooptation</u>. Manipulation refers to covert influence

attempts thus twisting and distorting facts to make them appear more attractive and withholding undesirable information and create false rumours to get employees to accept a change. Whereas it is a form of both manipulation and participation, this is where leaders of resistance are bought-off by giving them a key role in the change decision. Before any decision is made the resistance leader's opinion is sought

vi) Coercion. That is the application of direct threats or force upon the resisters. Examples include threats of transfer, loss of promotion and negative evaluations and poor letters of recommendation.

Politics of Change

Since change will always threaten the status quo, it is inherently political. Top management will tend to have risen to their positions of authority by developing skills and behavioural patterns that were favoured by the organisation. Change is likely to be a threat to those skills and patterns and make others in the organisation to rise in power.

Politics suggests that the impetus for change is more likely to come from outside change agents, employees who are new in the organisation or those with less vested interests in the status quo. Many employees who have worked for one organisation and risen through the ranks will be the major impediments to change. Change threatens the status quo and positions in the organisation.

The power struggles in the organisation will determine to a large extent the speed and quantity of change. Many Boards will look to outside the organisation for leadership in the change process.

Questions

1. What is change and why is it necessary for organisations to change overtime?

2. Change management is one of the major challenges in organisational development. Explain what can be changed in a change process and why would employees and organisations resist change?

3. Change may not just happen but could be triggered by a number of factors. As a management student, what factors do you think may trigger change?

4. Not all change that takes place is successful. Identify some of the steps that contribute to making change a success.

5. Outline the factors at the disposal of a manager that make managing change effective.

6. Whenever change becomes inevitable, management requires considering a number of change agents. As a management expert, discuss the options available to a manager to enable him or her institute the necessary change.

7. Even though change may be necessary, there is always resistance to change. Outline some of the reasons for the resistance to change.

8. How can resistance to change be minimised or managed?

CHAPTER 11

PUBLIC SECTOR MANAGEMENT

Learning objectives

- To enable the student understand the different forms that public organisations may take;
- Understand the difference between private and public organisations; and
- To introduce the concept of good corporate governance in the public sector.

Government creates public organisations, which do not generally have profit as their main goal but have political and social purposes. They include local government undertakings financed by government through taxes and grants and others financed by funds voted directly by parliament. Organisations such as Zambia Electricity Corporation (ZESCO), Zambia National Commercial Bank (ZANACO) and Zambia State Insurance Corporation (ZSIC) are owned by the central government on behalf of the citizenry as parastatal organisations. Other organisations owned and controlled in Zambia include Government Printers, Zambia Privatisation Agency, Export Board of Zambia, Registrar of Companies and Trade Marks, Roads development Agency.

ELEMENT 11.1 TYPES OF PUBLIC SECTOR ORGANISATIONS

Public sector organisation may be as indicated above owned by the state. Such organisations may be Statutory, Parastatal, government departments or Boards. Each will be looked at in the sections below.

i) Statutory Bodies

A statutory body is an organisation created through an Act of Parliament. The Act provides for the establishment of the statutory body. Most statutory bodies in Zambia are regulatory in nature. Some of the statutory bodies include Zambia Competition Commission (ZCC), Zambia Wildlife Authority, Pensions and Insurance Authority, Communications Authority of Zambia, Technical and Vocational Training Authority, Energy Regulations Board (ERB), Zambia Privatisation Agency, Export Board of Zambia, Registrar of Companies and Trade Marks, Roads development Agency. Statutory bodies were established to promote or regulate and monitor some socially and politically desirable acts. ZCC for instance was established to regulate anti-competitive market behaviour of dominant firms in the market. Other institutions in this category include Zambia National Tender Board and Zambia National Tourist Board.

The responsible Minister appoints the Board of Directors for the statutory bodies generally for a period of three years.

These statutory bodies are financed through statutory fees that maybe charged for the services provided while others are funded directly by government. In case of an institution like ERB, its concern is that the energy services reach the target market in the form prescribed and that the customer was not exploited.

ii) Parastatal or State Owned organisations

Parastatal organisations are similar to the characteristics of statutory bodies except that these institutions also have a profit motive at a cost effective level.

The main purpose of the public corporation or parastatal is to provide members of the public with goods and services at reasonable prices.

The source of capital is the central government in the form of grants. Loans may also be obtained from creditors or financial institutions to finance a parastatal institution. The allocation of profits may be for the improvement of infrastructure in the country such as building of health clinics, building of schools, etc. It may also be retained for repairs of machinery, buy more goods and services for resale and some of it may be used to repay loans. Parastatal companies like statutory institutions are subject of investigation by the parliamentary committees. Firms like ZANACO, ZSIC, ZESCO fall in this category.

iii) Government departments

Government departments are part of the departmentation of business for ease of implementation of government programmes. There will be departments such as Ministry of Foreign Affairs, Home Affairs, Lands, Agriculture and cooperative, Finance, Justice etc. Within these higher level departments (Ministries), there are departments such as Human Resource Management and Administration, Department of Tourism, Department of Environment, Forestry Department etc. The nature of departments depends on the type of Ministry and what it is charged to carry out. The first level of departmentation of government is through Ministries headed by the Permanent Secretary with political leadership of the Cabinet Minister. At the national level, the head of the civil service is the Secretary to the Cabinet who supervises the Permanent Secretary.

Government departments constitute the civil service of government. The government is the biggest employer and the biggest· buyer of goods and services.

iv) Boards

Boards are institutions, which are all owned by the government and the government appoints a board to manage the affairs of the institution. Some of the boards have been turned into Trusts such as the Zambia Institute of Management Trust, Hotel Training and Tourism Institute Trust, Hotels Board, etc. The Hotels Board is managing a chain of government hostels through out the country. Other Boards are Zambia National Tender Board, Zambia National Tourist Board, Export Board of Zambia, which may not be profitable for the private sector to do profitably.

The government also established management-training institutions for training of its civil servants and provision of management consultancy services. The National Institute for Public Administration (NIPA) and Management Services Board were originally established as part of cabinet office to provide the services alluded to above.

Other types of board established by government are those in the Ministries of Education and Health, (Education boards), Health Boards of Management following health and educational reforms.

v) Other organisations

Other organisations that one may find are nongovernmental organisations (NGOs) or civil society organisations. Such types of organisations are established to promote issues of public interest. Some of the NGOs found in Zambia are in the political field, environmental area, and gender issues, health sector whose mandate largely is to promote a public cause. Some of the NGOs include Non Governmental Organisation Coordinating Committee (NGOCC), Women for Change, Operation Young Vote, AVAP, OASIS forum, and political parties, Afronet etc.

ELEMENT 11.2 OWNERSHIP

i) Government

The government owns a number of institutions over which it exerts control in a very direct way. The government owns such institutions on behalf of the people of Zambia. Institutions owned by government measure very lowly on corporate governance due to the continuous interference by people with power. The difference between state and government ownership is merely semantic but the two mean the same from the legal stand point. Because the government owns it, the government appoints the Board of Directors to oversee the day-to-day operations of the corporation.

ii) State-owned and controlled

State-owned and controlled organisations may be called parastatals or statutory institutions established to perform specified functions. They tend to be established out of necessity, by an Act of Parliament because of the services not usually undertaken by private investors despite the benefits that accrue to all in the long term. Statutory independent institutions include Anti-Corruption Commission, Director of Public Prosecutions, Auditor General's Office, Zambia Law Development Commission, Electoral Commission of Zambia etc. Such institutions are funded directly by Parliament through Cabinet Office. State owned corporations are free to make decisions but should be done within the legal framework by which they are guided. They are not meant to make a profit but to provide a vital service to the community or the country as a whole.

iii) Community owned and controlled

The communities may establish organisations to promote the interests of communities. Such organisations may take the form of cooperatives. A community owned and controlled organisation is established to help local communities solve the identified development challenges for the community. A recent invention in the wildlife sector is the establishment of Community Resources Boards as community based organisations aimed at managing the Natural Resources in their areas (GMAs).

ELEMENT 11.3OBJECTIVES OF ORGANISATIONS

The overall purpose of a public corporation is to provide members of the public with goods and services at reasonable prices. Such corporations are funded with public funds and therefore members of the public are concerned with how the organisation is managed and the extent to which such organisations adhere to good corporate governance principles, how transparent and accountable they are. These organisations are entrusted with the responsibility of looking after the interests of the public.

i) **Corporate governance:** Corporate governance is how well the public organisation is managed and the extent to which there is participation in the governance of the organisation by stakeholders. Other issues of concern are the adherence to public financial regulations, public procurement regulations, with clear separation between the roles of management, the Board of Directors and the appointing authority the Minister in most cases.

ii) **Commercialisation:** Commercialisation is a form of transformation option to privatisation in Zambia. Public Corporations like ZESCO, ZAMTEL and ZSIC are focusing on commercialisation of their operations, thus adopting strict commercial principles in the management of the organisation. There is a shift in focus where instead of providing a public good/service without consideration of the bottom line, ZESCO and Zambia State Insurance Corporation (ZSIC) as commercialised entities, focus on profitability as well. Instead of privatisation, ZESCO and ZSIC will instead be commercialised entities, providing customer service and customer satisfaction at a profit to shareholders at the same time fulfilling government interests.

iii) **Value for money:** Value for money philosophy is a balancing act between profit maximisation and cost effective operations where the cost of goods and services provided should be priced reasonably. Value for money operations bring in the concept of consonance of clients after service delivery. Value for money businesses tend to be businesses in the middle range such as Game and Shoprite stores.

iv) **Accountability:** Accountability is the ultimate responsibility and cannot be delegated. Corporate managers have to accept ultimate responsibility for the control of their organisations for the performance of all duties allocated to the company within the corporate governance structures. The Board of directors and Management of public institutions should be accountable to their shareholders, the people of Zambia. In the annual report as part of full disclosure, the organisation should state its functions and report on the results of their operations.

v) **Transparency:** Transparency goes side by side with accountability. When an organisation is public, it should operate in the most transparent manner possible. There should be full disclosure of all financial affairs of the company, earnings of directors, compliance with good corporate governance principles, regular Board meetings in accordance with the law. Transparency is one of the key performance indicators for good corporate governance of public corporations.

vi) **Decentralisation:** Decentralisation is the extent to which decision-making is delegated to the lowest levels possible in the organisation. The degree of decentralisation will invariably be influenced by the nature of the product or service provided, policy-making, the day-to-day management of the organisation, and the need for standardisation of procedures, or conditions or terms of employment of staff. Decentralisation tends to be easy to implement in the private sector organisations than it is in public sector organisations where there is greater demand for accountability of their operations, regularity of procedures and uniformity of treatment.

vii) **Funding:** Funding of public sector corporations is generally by the government. The government is the main shareholder in public corporations and always want to control these institutions hence the appointment of the Board of Directors by government. Public corporations can borrow money from financial institutions other than the government. Public institutions should make public their audited financial statements to clearly show the sources of funds and how the funds were used.

ELEMENT 11.4 COMMUNITY NON PROFIT ORGANISATIONS

Most community based non-profit organisations focus more on the provision of services to the public for the good of the community. Such organisations can either be consumer cooperatives, marketing cooperatives, worker's cooperative and producer cooperatives. In reviewing the operations of the community non profit organisation, emphasis is placed on the nature and values, the use of surplus funds and cost effectiveness of operations. Community - non profit organisation are financed through membership contributions and may access donor funds from the local and foreign sources.

i) **Surplus or deficit allocations:** The earnings made from the not for profit organisations or cooperatives shall be carefully considered so that a fair and just system of distribution is assured. Decisions may be made to either reserve the profits for use in the business; or share the surplus or establish a fund which profits are paid or where profits shall be deposited for the benefit of the members of the community in future.

ii) **Cost effectiveness:** The operations of a community non-profit organisation are similar to the workings of a cooperative society at the community level. The focus for community non-profit organisations is on cost reduction and overall cost reduction as the budgets are generally small. A no frills culture is normally adopted so that every Kwacha raised is used for the public cause that is being pursued.

iii) **Characteristic features:** The characteristic feature of non-profit community based organisations is the level of informality in their operations. It is a member based organisation meaning that the initial capital is raised through member's contributions. Such organisations tend to be very democratic as elected officials, who may also operate as a management depending on their capitalisation, lead them.

iv) **Goals and values:** The main goal of the community non-profit organisations is to serve the public good and address whatever public cause the community may want it to focus on. Organisations in this category include small scale farmers associations, organisations to fight against HIV and AIDS, organisations on gender equality. Others such as movement against corruption and church organisations all fall into this category. Issues of integrity, transparency, accountability in use of donated funds, good corporate governance tend to be very high on their agendas in their operations.

v) **Administrative Structure:** Community non-organisations do not have elaborate structures for administration and management. Administrative structures are generally informal/simple structures.

Questions

1. Discuss the nature of public sector organisations in Zambia in terms of design, financing, control and the overall objective.

2. Assuming you are in charge of a community based organisation, what important factors would you and your management be concerned with?

3. Identify the range of public sector organisations and write a short description of each one of them.

4. Describe the different types of ownership of the public sector organisations. Which type of ownership do you think is conducive to the provision of efficient and high quality service to the community?